Logan Finance Corporation Non-QM Purchasing and Underwriting Guidelines

June 9, 2025

Contents

1. General Requirements

1.1 Overview

This Purchasing and Underwriting Guidelines (the "Guidelines") offer loan programs that fall outside the parameters of Qualified Mortgage loans. For a loan to be eligible for purchase by Logan Finance Corporation (Logan) the loan must conform to all requirements set forth in these Guidelines. Any underwriting standards not specifically addressed in this document will follow the requirements set forth in Fannie Mae's guidelines.

Loans that are eligible for sale to a government-sponsored enterprise (GSE) – the Federal National Mortgage Association (Fannie Mae) or the Federal Home Loan Mortgage Corporation (Freddie Mac) – are ineligible for any programs defined in the Guideline.

1.2 Logan Rights

Logan reserves the right to decline any loan that they believe is not in the best interest of the Borrower or does not meet the spirit of the guidelines. In addition, these Guidelines are amendable at Logan's discretion.

1.3 Credit Exceptions

Exceptions to published guidelines may be considered on a case-by-case basis. Loans with exception request should exhibit strong compensating factors. All exceptions must be approved in writing to be eligible for purchase by Logan.

1.4 Ability to Repay

Borrowers obligated on a loan purchased by Logan must have the ability to repay the loan, and must, prior to the loan's closing, attest to their ability to repay the loan on a designated form. The Seller must, prior to the loan's closing, evaluate the Borrowers' ability to repay the loan and must make a good faith determination that the Borrowers do have the ability to repay the loan in conformance with the regulations promulgated by the Consumer Finance Protection Bureau. In making such an evaluation, the Seller must consider the Borrowers:

1. Current or reasonably expected income or assets
2. Current employment status
3. Monthly Mortgage payment for the loan in question
4. Monthly payments on other loans secured by the same property
5. Monthly payments for property taxes, insurance, and home association fees
6. Debts, alimony, or child support obligations
7. Monthly debt to income ratio or residual income that was calculated using the total of all the mortgage and non-mortgage obligations as a ratio of gross monthly income
8. Credit history

A Seller must attest that it evaluated and concluded that the Borrowers have the ability to repay the loan. The Seller must represent and warrant that the origination of the loan complied with all applicable laws and regulations related to the Borrowers' ability to repay the loan, including the regulations of the Consumer Finance Protection Bureau. If a loan is originated solely for business purposes, and is secured by an investment property, then the Seller is not required to evaluate the Borrowers' ability to repay.

1.5 Net Tangible Benefit

The loan must provide a net tangible benefit to the Borrowers. A tangible benefit may include financing the acquisition of a property, reducing the cash expenditure required to service an existing mortgage, lowering the interest rate of an existing mortgage, extending the period during which the interest rate on an existing mortgage is fixed, extending the term of an existing mortgage, and obtaining additional cash proceeds through a cash-out refinance.

1.6 Lowest-cost Loan

Logan requires that the Seller consider all the alternative loan programs the Seller has available, and then offer loan applicants the lowest cost loan program that (i) meets the applicants' requirements and preferences, and (ii) for which the applicants qualify.

1.7 Equal Credit Opportunity Act

For a loan to be eligible for purchase by Logan the loan must comply with all requirements set forth in the Equal Credit Opportunity Act.

1.8 Independent Lending

Seller must make its own determination as to whether to approve and consummate the loan and must ensure that none of Logan's directors, officers, employees, agents, contractors, or affiliates influenced or interfered with the Seller's decision.

1.9 Max Points and Fees

Total points, fees, and APR may not exceed current state and federal high-cost thresholds. Federal, State, and Local High-Cost Loans are not acceptable for purchase.

1.10 Subordinate Financing

Subordinate Financing is permitted so long as the following requirements are met:

1. The CLTV and combined loan amount does not exceed the maximum LTV per the program matrix.
2. Subordinate financing is defined as "Acceptable Subordinate Financing" per Fannie Mae's guidelines.

1.11 Loan Age

The loan age is considered the period between the note date and purchaser's fund date and cannot exceed sixty days.

1.12 Prepayment Penalty

Loans with prepayment penalties are not eligible for owner-occupied or second home properties. A prepayment penalty is required for investment properties, and the prepayment penalty should be equal to six months interest on the amount prepaid that exceeds 20% of the original principal balance unless otherwise restricted by State law. This is known as the California Rule prepay formula.

Alternatively, a fixed percentage of no less than 3% - The prepayment charge will be equal to a fixed percentage and applied to any curtailment or the entire outstanding principal balance during the prepay period.

A prepayment penalty of at least one year is required unless prohibited by state law.

In either case, the prepayment penalty applies to loans that pay off due to sale or refinance (a "hard" prepay).

Logan has the following PPP restrictions case:

Prepayment Penalty not permitted in any of the following states:

- Properties located in Alaska, Kansas, and New Mexico
- Properties located in Illinois with individual vesting and a note rate above 7.99%
- Properties located in New Jersey with individual vesting and a note rate above 5.99%
- Properties located in Pennsylvania containing 1-2 units and a loan amount below $ 319,777
- 1 unit Properties located in Michigan
- 1-2 unit properties located in Ohio
- Purchase loans located in Rhode Island

Limitations

- Properties located in Cook County Illinois with loan amounts less than $250,000 must meet IL PPP requirements and require a 3/2/1 step down PPP
- Properties located in Minnesota not permitted for conforming loan limits.
- Properties located in Mississippi step down pre-payment required

1.13 Business Purpose Loans

Loans that originated as investor occupancy will be considered Business Purpose Loans for the purposes of these guidelines. All Business Purpose Loans must include in the closed loan package a business purpose affidavit signed by the Borrower or Guarantor. In addition, no relative, defined as the Borrower's spouse, child, or other dependent, or by any other individual who is related to the Borrower by blood, marriage, adoption, or legal guardianship of the Borrower or guarantor may occupy the Subject Property. All Business purpose loans require ACH.

1.14 Age of Documents

For the purpose of these guidelines the following will be used to determine the allowable age of documentation

- Credit Report:120 days from the Note date
- Income: 60 days from the Note date
- Assets: 60 days from the Note date
- Appraisal: 120 days, 180 days with a recert of value (please refer to section 2)
- Preliminary Title Report: 90 days from the Note date

1.15 Limited Power of Attorney

A limited Power of Attorney is acceptable when all the following are met:

- It is specific to the transaction;
- It is recorded with the Mortgage / Deed of Trust;
- It is used to execute only the final loan documents; and
  - The borrower who executed the POA signed the initial 1003 URLA, and
  - An interested party to the transaction (such as seller, broker, loan officer, realtor, etc.) may not act as Power of Attorney
- The Patriot Act form must be signed by the Borrower prior to closing
- Not eligible for
  - cash out transactions,
  - foreign national borrowers
  - loans closing in an entity

1.16 ACH Form

An ACH Form is required on all loans with Foreign National borrowers and loan that is defined as a business purpose loans in accordance with section 1.13. ACH must be from a US bank account.

1.17 Late Fees

For consumer loans, notes and other relevant mortgage documents should generally provide for a 5% late fee payable on any mortgage payment that is late by 15 calendar days or more, subject to any specific state law requirements.

2. Appraisal and Property Requirements

2.1 Appraisal

2.1.1 Appraisal Requirements

Logan reserves the right to review all valuation reports and determine if the subject property value is supported. Appraisals are subject to the following requirements:

- Appraisal must be ordered through an Appraisal Management Company (AMC) that complies with Appraiser Independence Requirements (AIR). Correspondent Sellers are permitted to use their own appraisal board so long as appraisal is Appraiser Independence Requirements (AIR) compliant.
- Appraisers must meet all industry standards and be State Certified or State Licensed. Trainees are not permitted. All real estate appraisals must be performed according to the Uniform Standards of Professional Appraisal Practice (USPAP) and Fannie Mae guidelines.
- Appraisal assignments must be obtained in a manner that maintains appraiser independence and does not unduly influence the appraiser to meet a predetermined value.
- The licensed appraiser is required to perform an interior inspection when completing the appraisal report.
- If two appraisals are required, they must be completed by two different appraisers.
- Properties for which the appraisal indicates condition ratings of C5 or C6, or a quality rating of Q5 or Q6, as determined under the Uniform Appraisal Dataset (UAD) guidelines, are NOT eligible for Logan to purchase. Logan will consider purchase if the issue has been corrected prior to loan funding and with proper documentation.

Logan reserves the right to restrict the use of any specific appraiser and/or appraisal management company at its discretion.

Sellers are responsible for reviewing the appraisal report for accuracy, completeness, and its assessment of the marketability of the subject property. Seller needs to determine that the subject property provides acceptable collateral for the loan.

2.1.2 Eligible Appraisal Forms

A Full Interior/Exterior appraisal report, including color photographs, requires use of one of the following forms depending on the property type:

- Uniform Residential Appraisal Report - Fannie Mae/Freddie Mac Forms 1004/70
- Small Residential Income Property Report - Fannie Mae/Freddie Mac Forms 1025/72
- Individual Condominium Unit Appraisal Report - Fannie Mae/Freddie Mac Forms 1073/465
- Appraisal Update and/or Completion Report - Fannie Mae/Freddie Mac Forms 1004D/442
- Single Family Comparable Rent Schedule - Fannie Mae/Freddie Mac Forms 1007/1000
- The appraiser must meet all industry standards and be State Certified, and be familiar with, the area where the subject property resides.
- The appraisal must be USPAP compliant.
- The interior and exterior inspection must be done by the person that goes onsite to see the properties and take pictures not be in any way affiliated with the transaction. The use of a participating broker or the property owner to take pictures would not be deemed acceptable.

Logan reserves the right to restrict the use of hybrid appraisal when the pandemic is gone, or the hybrid appraisal is no longer accepted by Fannie Mae and Freddie Mac.

2.1.3 Appraisal Age

Appraisals should be dated no more than 120 days prior to the Note date. After 120 days, a recertification of value or new appraisal is required. A recertification of value will be valid for 121 days through 180 days. After 180 days, the original appraisal is expired, and a new appraisal will be required.

2.1.4 Appraisal Analysis

2.1.4.1 Compatibility of Subject Property and Neighborhood

- Neighborhood boundaries should be described using the four cardinal directions, streets, waterways, other geographic features, and natural boundaries that define the separation of one neighborhood from another.
- Neighborhood characteristics should be described with types and sizes of structures, architectural styles, current land uses, site sizes, and street patterns or designs.
- Factors that affect value and marketability should be mentioned in as much detail as possible.
- The age and price of the subject property should fall within the age and price range of properties in the subject neighborhood.
- The appraiser must report the primary indicators of market condition for properties in the subject neighborhood as of the effective date of the appraisal by noting the trend of

property values, the supply of properties in the subject neighborhood, and marketing time for properties.
- The appraiser must provide a conclusion for the reasons a market is experiencing declining property values, an over-supply of properties, or market time over six months.

2.1.4.2 Selected Comparable Sales

- Whenever possible, comparable sales in the same neighborhood as the subject property should be used.
- Sales prices of comparable properties in the neighborhood should reflect the same positive and negative location characteristics.
- For properties in established subdivisions, condo projects or PUDs, comparable sales from within the same subdivision or project as the subject property must be used if the subdivision or project has resale activity.
- Use of comparable properties located outside of the established subject neighborhood must be explained in the appraisal analysis.
- For properties in new subdivisions, condo projects or PUDs, the subject property must be compared to other properties in its general market area as well as to properties within the subject subdivision or project. The appraiser must select one comparable sale from the subject subdivision or project and one comparable sale from outside the subject subdivision or project. The third comparable sale can be from inside or outside of the subject subdivision or project provided it is a good indicator of value for the subject property.

2.1.4.3 Property Condition

- If the appraiser reports the existence of minor conditions or deferred maintenance items that do not affect the safety, soundness, or structural integrity of the property, the appraiser may complete the appraisal “as is.” These items must be reflected in the appraiser’s opinion of value.
- When there are incomplete items or conditions that do affect the safety, soundness, or structural integrity of the property, the property must be appraised subject to completion of the specific alterations or repairs. These items can include a partially completed addition or renovation, or physical deficiencies that could affect the safety, soundness, or structural integrity of the improvements, including but not limited to, cracks or settlement in the foundation, water seepage, active roof leaks, curled or cupped roof shingles, or inadequate electrical service or plumbing fixtures. In such cases, the Seller must obtain a certificate of completion from the appraiser before the mortgage is delivered to Logan.

2.1.4.4 Property Sale and Listing History

The appraiser is required to research and identify whether the subject property is currently for sale or if it has been offered for sale 12 months prior to the effective date of the appraisal. If the answer is ‘No,’ the data source(s) used must be provided. If the answer is ‘Yes,’ the appraiser must report on each occurrence or listing and provide the following information:

Offering price(s), Offering date(s), Data source(s) used. For example, if the subject property is currently listed for sale and was previously listed eight months ago, the appraiser must report both offerings.

2.1.4.5 Actual and Effective Ages

There is no restriction on the actual age of the dwelling. Older dwellings that meet general requirements are acceptable. Improvements for all properties must be of the quality and condition that will be acceptable to typical purchasers in the subject neighborhood. The relationship between the actual and effective ages of the property is a good indication of its condition. A property that has been well-maintained generally will have an effective age somewhat lower than its actual age. On the other hand, a property that has an effective age higher than its actual age probably has not been well-maintained or might have a specific physical problem. In such cases, the Seller should pay particular attention to the condition of the subject property in its review of any appraisal report. When the appraiser adjusts for the "Year Built," he or she must explain those adjustments.

2.1.4.6 Accessory Units

Logan will purchase a one-unit property with an accessory unit. An accessory unit is typically an additional living area independent of the primary dwelling unit and includes a fully functioning kitchen and bathroom. Some examples may include a living area over a garage and basement units. Whether a property is defined as a one-unit property with an accessory unit or a two-unit property will be based on the characteristics of the property, which may include, but are not limited to, the existence of separate utilities, a unique postal address, and whether the unit is rented. The appraiser is required to provide a description of the accessory unit and analyze any effect it has on the value or marketability of the subject property. If the property contains an accessory unit, the property is eligible under the following conditions:

- The property is defined as a one-unit property.
- There is only one accessory unit on the property; multiple accessory units are not permitted.
- The appraisal report demonstrates that the improvements are typical for the market through an analysis of at least one comparable property with the same use.
- The Borrower qualifies for the mortgage without considering any rental income from the accessory unit on primary and 2^{nd} home transactions. Rental income from an ADU is permitted on Business purpose loans. A sperate rent schedule is required if rental income from an ADU us being used on a Business purpose loan.

2.1.4.7 Outbuildings

The Seller must give properties with outbuildings special consideration in the appraisal report review to ensure that the property is residential in nature. Descriptions of the outbuildings should be reported in the Improvements and Sales Comparison Approach sections of the appraisal report form. Suitability assessment must be performed for the following type of outbuilding:

- Minimal outbuildings, such as small barns or stables, that have relatively insignificant value in relation to the total appraised value of the subject property – the appraiser must demonstrate, using comparable sales with similar amenities, that the improvements are typical of the residential properties in the subject area for which an active, viable residential market exists.
- An atypical minimal building – the property is acceptable provided the appraiser's analysis reflects little or no contributory value for it.
- Significant outbuildings, such as silos, large barns, storage area, or facilitate for farm-type animals – the presence of the outbuilding may indicate that the property is agricultural in nature. The Seller must determine whether the property is residential in nature, regardless of whether the appraiser assigns value to the outbuildings.

2.1.5 Second Appraisal

A second appraisal is required when any of the following conditions exist:

- The loan balance exceeds $2,000,000.
- The transaction is a flip as defined in the Property Flipping section of this guide.
- As required under the Appraisal Review Products section of this guide.

When a second appraisal is provided, the transaction's "Appraised Value" will be the lower of the two appraisals. The second appraisal must be from a different appraiser than the first appraisal.

An ARR or CDA will not be required if two appraisals are ordered.

2.1.6 Appraisal Review Product

An appraisal review product is required to support the appraised value for all transactions. Acceptable review products include the following options.

- An enhanced desk review product. The eligible choices are:
    - ARR from Pro Teck
    - CDA from Clear Capital
- A field review or a second appraisal is acceptable in lieu of an ARR or CDA, however it may not be from the same appraiser as the original report.
- FNMA Collateral Underwriter (CU) with a score of ≤ 2.5

The enhanced desk review product (ARR, or CDA) must reflect a value within 10% of the appraised value.

Second full appraisal is required when loan amount > $2,000,000 an ARR or CDA is not required for loans with two appraisals.

2.1.7 Transferred Appraisal

Logan will allow for a transferred appraisal. The appraisal must meet all requirements listed in this section 2.1. In addition, the file must contain an appraisal transfer letter meeting the following requirements:

- Must be on letterhead of the original transferring financial institution.
- Current date;
- Borrower(s) name;
- Property address;
- A statement transferring ownership of the appraisal to:
  - The Client for Correspondent transactions, or
  - Logan Finance Corporation for Wholesale transactions.
- The following statement: "(Original Transferring Financial Institution) certifies and warrants that the referenced appraisal was prepared in accordance with, and is compliant with, the Appraisal Independence Requirements (AIR), Truth in Lending regulations, and all applicable laws.";
- Signature of an Officer of the transferring financial institution that is not in Loan Production.
  - Loan Officers, LO assistants, etc. are not eligible to sign the transfer letter;
- Compliancy of ordering and processing according, but not limited to, Dodd Frank, FIRREA, Appraiser Independence Requirements, and Consumer Protection Acts

2.2 Property

2.2.1 Minimum Property Requirements

All properties must meet the following requirements:

- Be improved by real property
- Be accessible and available for year-round residential use
- Contain a full kitchen and a bathroom
- Represent the highest and best use of the property
- Be heated by a continuously fueled heat source which is permanently affixed to the real estate. Alternative heat sources are acceptable when marketability has been demonstrated. No heating system at all is acceptable in certain geographic area where no heat is common for the area (Example: South Florida and Hawaii) and at least two (2) comparable sales without heat sources must be utilized within the appraisal
- Property must be in C4/Q4 condition or better
- Existing use must represent the "highest and best" use of the subject
- Be free of any/all health and safety violations

- Be free of any/all violations of any housing codes and/or items that adversely affect the ownership, habitability, or marketability of the subject property
- Be free of any fixture that includes a UCC filing associated with the property and/or will create an easement on title.

2.2.2 Personal Property

Any personal property transferred with a real property sale must be deemed to have zero transfer value, as indicated by the sales contract and the appraisal. If any value is associated with the personal property, the sales price and appraised value must be reduced by the personal property value for purposes of calculating the LTV and CLTV.

2.2.3 Escrow Holdbacks

Escrow holdbacks are not allowed. Any repair or maintenance required by the appraiser must be completed prior to loan purchase. Logan will not acquire any loan with an escrow holdback.

2.2.4 Property Types

2.2.4.1 Eligible Properties

- Single family detached
- Single family attached
- 2-4 unit residential properties
- Condominium (Fannie Mae warrantable condos and non-warrantable condos)
- Planned Unit Development (PUD)
- Rural properties: must be residential in nature (investment properties ineligible)
- Leaseholds

2.2.4.2 Ineligible Properties

- Properties with Lot Size in Excess of 20 Acres
- Condotels or Condo Hotels
- Community Land Trusts
- Co-ops
- Earth Homes, Berm Homes, and Dome Homes
- Deed restricted communities (e.g. factors that impair Sellers rights)
- Geodesic Dome Homes
- Houseboat projects
- Log Homes (unless typical for the area and three comparable sales from the immediate area can be provided)
- Manufactured Housing
- Mixed-Use Properties
- Model Home / Builder Leasebacks

- Modular Homes
- Operating Farms, Ranches, or Orchards
- Properties in Lava Zone’s 1 or 2
- Properties Representing an illegal use under zoning regulations
- Properties Subject to Hazardous, Materials, Noxious odors, or safety violations
- Properties Subject to Oil and/or Gas Leases
- Properties Used Primarily for Agriculture, Framing, or Commercial Use
- Properties Located in Native American Indian Reservations
- Structures or Projects with Non-Conforming Use of Land where zoning prohibits in the event of total or partial destruction
- Timeshares
- Vacant Land or Land Development Properties
- Properties Located on a Sink Hole

2.2.5 Acreage Limitations

- A maximum of 10 acres is allowed, however parcels not exceeding twenty (20) acres may be considered if it is typical for the area and value/marketability is supported with appraisal comparable of similar acreage.
- No truncating is allowed.

2.2.6 Rural Properties

A property indicated by the appraisal as rural, or containing any of the following characteristics, is typically considered a rural property:

- Neighborhood is less than 25% built-up
- Area around the subject is zoned agricultural
- Photographs of the subject show a dirt road
- Comparable are more than five miles away from the subject
- Subject located in a community with a population of less than 25,000
- Distance to schools and/or amenities is greater than 25 miles
- Subject property and/or comparable have lot sizes greater than 10 acres
- Subject property and/or comparable have outbuilding or large storage sheds
- Rural properties must comply with ALL the following criteria:
  - Must be Primary Residence Only
  - Must be primarily for residential use
  - Property must not be agricultural or provide a source of income to the Borrower
  - Lot size and acreage must be typical for the area and are similar to the surrounding properties
  - Property cannot be subject to any idle acreage tax benefit or other tax incentive program
  - Maximum acreage allowed is 10, which includes road frontage and subject property
  - Present use as per the appraisal must be the “highest and best use” for the property

- Condition, quality, and use of outbuildings may be considered in determining the market value of the subject property when the appraiser clearly supports the adjustments with similar comparable information.

2.2.7 Disaster Area

Sellers are responsible for identifying geographic areas impacted by disasters and taking appropriate steps to ensure the subject property has not been adversely affected. The following guidelines apply to properties located in FEMA declared disaster areas, as identified by reviewing the FEMA website at https://www.fema.gov/disasters. In addition, when there is knowledge of an adverse event occurring near and around the subject property location, such as earthquakes, floods, tornadoes, or wildfires, additional due diligence must be used to determine if the disaster guidelines should be followed.

2.2.7.1 Appraisals Completed Prior to Disaster

An exterior inspection of the subject property (performed by the original appraiser, if possible), is required.

- The appraiser should provide a statement indicating if the subject property is free from any damage, is in the same condition as the previous inspection, and the marketability and value remain the same.
- An Inspection Report must include new photographs of the subject property and street view.
- Any damage must be repaired and re-inspected prior to purchase.

2.2.7.2 Appraisals Completed After Disaster Event

- The appraiser must comment on the adverse event and certify that there has been no change in the valuation.
- Any existing damage noted in the original report must be repaired and re-inspected prior to purchase.

2.2.7.3 Disaster Event Occurs After Closing but Prior to Loan Purchase

A loan is ineligible for purchase until an inspection is obtained using one of the following options:

- A Post Disaster Inspection (PDI) Report from Clear Capital or Damage Assessment Report (DAR) from Pro Teck may be used. Any indication of damage reflected on the report will require a re-inspection by the appraiser.
- The appraiser may perform an inspection (Fannie Mae Form 1004D) and comment on the event and certify that there has been no change to the value.

The guidelines for disaster areas should be followed for 120 days from the disaster incident end date as published by FEMA. https://www.fema.gov/disasters/disaster-declarations

2.2.8 Property Flipping

A property is considered a "flip" when the subject property is a primary residence and classified as an HPML transaction (subject loan APR exceeds the APOR/Average Prime Offer Rate by more than 1.5%) whereby either of the following is present:

- The price in the Borrower's purchase agreement exceeds the property Seller's acquisition price by more than 10% if the property Seller acquired the property 90 or fewer days prior to the date of the Borrower's purchase agreement.
- The price in the Borrower's purchase agreement exceeds the property Seller's acquisition price by more than 20% if the property Seller acquired the property 91-180 days prior to the date of the Borrower's purchase agreement.

If the property is a "flip" as defined above, the following additional requirements apply: A second appraisal must be obtained.

- If the loan is subject to Regulation Z, a copy of the second appraisal must be provided to the Borrower in compliance with the federal HPML requirements.
- The second appraisal must be dated prior to the loan consummation/note date.
- The property Seller on the purchase contract must be the owner of record.
- Increases in value should be documented with commentary from the appraiser and recent comparable sales.
- Sufficient documentation to validate actual cost to construct or renovate (e.g., purchase contracts, plans and specifications, receipts, invoices, lien waivers, etc.) must be provided, if applicable.

2.2.9 Condominium Acceptance Criteria:

Logan Finance Corporation accepts both warrantable and non-warrantable condominiums, with the review type contingent on the loan's LTV and occupancy.

- **Florida Properties – Associations and Projects subject to the SB-4D requirements will require second level review and will be subject to Milestone Structural Inspections, and Structural Integrity Reserve Studies (Projects under this requirement are not eligible for Limited Review guidelines)**
- *Logan will not finance more than 15% of the total units in any non-warrantable condominium; (For projects with 5 to 20 units, maximum 2 units)*

2.2.9.1 Warrantable Condominiums:

Condominiums meeting Fannie Mae guidelines for eligibility, typically have lower risk profiles and are eligible for conventional financing. Logan will purchase loans secured by units in condominium projects that meet Fannie Mae's Project Standard Guidelines. Allowed project types, Limited Review, Established Full Review, New Full Review, Fannie Mae Approved and Waived Review.

2.2.9.2 Non-Warrantable Condominiums:

Condominiums not meeting Fannie Mae or Freddie Mac guidelines for eligibility, generally higher risk due to factors such as high investor concentration, commercial space, or litigation. Projects marked "Unavailable" in Fannie Mae Condo Project Manager will be reviewed under Logan Non-warrantable guidelines

2.2.9.3 Master Insurance and HOI Requirement:

- Condominium projects, whether warrantable or non-warrantable, must provide master insurance and unit Homeowner's Insurance (HOI). Master Insurance Policy must meet Fannie Mae's Insurance Requirements for Project Development unless otherwise described below

2.2.9.4 Project Review Waiver:

- Project review is waived for detached condominium units or units in a two-to-four-unit condominium project and is warrantable
- Project review waivers do not apply for condotels, and projects that are primarily transient in nature

2.2.9.5 Ineligible Project Types:

In addition to Fannie Mae's Ineligible Projects, the following are not allowed: without exception:

- Timeshares
- Condotels/ Condo Hotels
- Co-ops
- Mobile or Manufactured Home Condominium Projects
- House Boats
- Community Apartments, Tenant-in-Common aka "own-your-own" Projects, or other multifamily property types with exclusive use to a specific apartment licensed or leased to an interest owner or shareholder
- Units offered through filings with the United States Securities and Exchange Commission
- Projects with Non-Conforming Use of Land where zoning prohibits rebuild in the event of total or partial destruction
- Projects with revenue sharing agreements with 3rd parties managing the project for short-term rental
- Projects in which year-round occupancy is prohibited

- The project is not located on contiguous parcels of land (buildings separated by public and private streets, or amenities are okay)
- Multi-family units
- Assisted living units
- Units containing transfer fees
- Projects where the subject unit will be transient in nature

Following Characteristics are considered ineligible, however may be considered for exception review and possible LLPA (*characteristics cannot result in layered risk and must be supported with compensating factors for consideration*).

- Units less than 500 square feet
- Units that are not held fee simple
- Condominium conversions with less than two years seasoning (not including gut rehab's)
- Projects with mandatory or upfront periodic membership fees
- Projects for which the HOA is subject to pending litigation for the safety, structural soundness, or habitability of the project
  - Projects where HOA's engineer's report demonstrates that the defects claimed are neither safety, nor structural soundness related can be considered on an exception basis
  - Projects where safety and structural soundness repairs have been made and HOA is suing for reimbursement of funds, and additional capital to cure remaining defects may also be considered on an exception basis
- Projects with pending litigation not fully covered by insurance
- Projects with greater than 60% investor occupancy
  - For Primary and Secondary Residence transactions, investor occupancy requirement is waived
- Projects with single entity ownership of greater than 25% (other than the original sponsor or developer)
- Project where the common areas and amenities are not fully completed
- Project where the subject phase is not 100% complete
- Projects with 49 units or less – and exceeds 35% commercial space
- Projects with 50 or more units – and exceeds 50% commercial space
- Projects with 20% or more of the units 60+ days delinquent to the homeowner's association, whether regular or special assessment
- Projects located in Florida and California where the insurance deductible is greater than 7-10% 5% will require project financials to ensure sufficient funds to cover deductible in case of claim
- Projects with budgets for capital reserves less than 5% of total expenditures
  - If HOA maintains in its reserve bank accounts more than 50% of the annual operating expenditures, annual reserve requirement is waived
  - If a project shows a reserve study, and demonstrates that it is following the recommendations of the reserve study, 5% reserve requirement is satisfied
  - For new construction projects, developer/sponsor capital contributions can be used to meet the reserves requirement

2.2.9.6 Limited Review Guidelines :

	Established Condo Projects (Outside of Florida)	Established Condo Projects (Inside of Florida)
Occupancy Type	**Maximum LTV, CLTV, and HCLTV Ratios**	**Maximum LTV/CLTV/HCLTV Ratios**
Principal residence	90%	75%
Second home	75%	70%
Investment property	75%	70%

2.2.9.7 Limited Condominium Review: (applicable to warrantable condominium only)

- Minimum Square Feet 500
- Unit held Fee Simple
- The project must be established, 75% of the units conveyed, construction complete, and HOA control transferred to the unit owners
- The condominium HOA must not be involved in active or pending litigation that disqualifies the property from a limited review, except for minor litigations as defined by Fannie Mae
- Projects with significant deferred maintenance failed milestone/building recertifications, or other regulatory directives and code violations for repairs due to unsafe conditions are ineligible
    - Projects with ongoing critical repairs must demonstrate there are no safety and structural soundness findings or related required repairs outstanding to be eligible for Limited Review
    - Projects in the middle of Building Recertification/Milestone require Non-warrantable Full Review, and Exception consideration. Structural and Safety related repairs must be completed for consideration
- Commercial space in the project is limited to max 35% of project square footage
- The project must be 100% complete with no future phases to be built or annexed
- Projects cannot be managed as a hotel, motel, or be primarily transient in nature
- Projects may not have mandatory upfront or periodic membership fees for recreational amenities owned or operated by a 3rd party or original developer
- Projects for senior care or life care facilities are ineligible
- Projects where a single entity owns more than the 25% not eligible for limited review
- No more than 15% of total units may be 60 days or more past due on common expense or special assessments
- HOA must not receive more than 10% of its budgeted income from non-incidental business operations
- Replacement reserves for capital expenditures and deferred maintenance must be at least 5% of the budget
    - If the project holds in reserve accounts an amount equal to or greater than 50% of the project’s annual operating expenses, 5% reserve requirement is satisfied
    - If a project shows a reserve study, and demonstrates that it is following the recommendations of the reserve study, 5% reserve requirement is satisfied

2.2.9.8 Full Condominium Review:

All Limited Requirements, plus the following;

- For investment property transactions, at least 40% of total units must be sold or under contract for principal residence or second home purchasers. (Higher investor concentration will be considered dependent on compensating factors and layered risk)
    - Investor concentration waived for Primary and Secondary Residence transactions.
- Commercial space in the project is limited to 35% for projects with less than 50 units; 50% for projects with 50 units or more
- No more than 20% of total units may be 60 days or more past due on common expense or special assessments
- Unit owners must have sole ownership interest in project facilities, and developers may not retain ownership interest in project facilities. (3rd party owned parking amenities not subject to this requirement) The following are eligible for Logan Non-warrantable Review Types
    - Recreational amenities owned by 3rd parties allowed, such as mandatory club dues to country club, or fitness facility licenses, etc.
    - Recreational amenities subject to a ground lease, ground lease must meet FNMA Leasehold Estate ground lease requirements
- Other eligibility criteria are applied on a case-by-case basis

2.2.9.9 Non-Warrantable Condominiums:

Commercial Space	*Maximum 50%. Exceptions up to 60% allowed when project is residential in nature; rights of the residential unit owners protected by the bylaws and the Declaration of Condo/CC&Rs/Master Deed*
Single Entity Ownership	*Maximum 25%. (other than the original sponsor or developer)* *Up to 49% OK when Single Entity is actively marketing units for Sale. Subject does not have to be owned by single entity to qualify; Single Entity must be current on all HOA dues.*
Litigation	*Projects for which the HOA is subject to pending litigation for the safety and/or structural soundness of the project not allowed. (an engineer's report indicating project is inhabitable (habitable) and there are no health and safety concerns will be accepted.*
Investor Concentration	*Maximum 60%*
Units with Dues >60 Days Past Due	*Maximum 20%.*
Master Insurance Policy Deductible	*Maximum 5%; (up to 10% considered on a case-by-case basis) project cannot have compounded non-warrantable characteristics*

Completion Status *Pre-Sale Requirements:* *Marketing start date shall be established by the signing of the first contract within a phase; But not later than the first closed sale within a phase*	*The project, or the subject unit's legal phase must be complete, including subject phase common elements and recreational facilities.* ○ *25% OO within 18 mos. of marketing.* ○ *40% OO after 18 mos. of marketing and 50% overall presale OR* ○ *70% overall after 18 mos. of marketing, max 60% investor occupancy including developer owned units.* ○ *80% sold and closed considered established*

2.2.9.10 Insurance Guidelines:

Pooled Policies:

- $1 billion pooled insurance policies where risk is spread over multiple projects.
    - CIBA has a policy acceptable to FNMA with tiered coverage, where replacement cost (RC) for subject property project is the last covered
    - Exceptions may be considered when a policy does not meet FNMA specifics, depending on its functionality and coverage
        - Schedule of Properties and Replacement Cost Values may be provided for analysis to determine if risk of loss across multiple properties from a single loss event is abated by limiting the number of properties or total value of properties covered by pooled policy in single zip code.
        - HOA must have the ability to process multiple claims in a single policy period to settled on a replacement cost basis
- Replacement Cost Valuation Coverage verification, Coinsurance, Actual Cash Value, Deductibles more than 5% of coverage max, and other insurance factors will be considered on a case-by-case basis. Insurance risk exceptions cannot be layered with other non-warrantable condominium exceptions
    - Per unit deductibles that exceed 5% of the face value of the policy coverage amount may be accepted when the borrower obtains HO6 Loss Assessment or similar coverage for unit owners per unit deductible requirement paid to the master policy

2.2.9.11 Condominium Documentation:

- Condominium questionnaire
- Master Insurance Policy
- HOA budget and Balance Sheet dated within 90 days
- Title Report
- Declaration of condominium
- Bylaws

- Association rules and regulations
- Legal compliance certification
- Appraisal report

3. Insurance Requirements

The Subject Property must be insured against title defects and against hazards. In addition, if the Subject Property is a flood zone, the property must be insured against flood damage.

3.1 Title Insurance

3.1.1 Title Policy Requirements

Each loan delivered to Logan must include a title insurance policy. If the file contains the Commitment for Title Insurance, it must indicate the policy will be issued upon payment of the premium. By delivering a mortgage loan to Logan, the Seller represents and warrants that the loan is covered by the required title policy, issued by a licensed insurer, and includes any required endorsements. The title insurer and policy must conform to Fannie Mae requirements.

- The title insurer must be qualified to do business in the state where the subject property is located.
- The premium for the title insurance must have been paid in full on the date of the loan or on the loan's funding date.
- The title insurance must be in force and non-cancelable.
- Terms of Coverage: The title insurance policy must ensure the title is acceptable and that the mortgage represents a first lien on a fee simple estate in the property. The title policy must also list all other liens and reflect they are subordinate. The policy must be written on one of the following forms:
    - The 2006 American Land Title Association (ALTA) standard form.
    - The ALTA short form if it provides coverage equivalent to the 2006 ALTA standard form.
    - The ALTA form with amendments required by state law in states in where the 2006 ALTA forms have not yet been adopted, provided such ALTA form with amendments is acceptable to Fannie Mae (loan where the title insurance is not acceptable to Fannie Mae or not eligible for sale to LOGAN).
    - For Adjustable Rate Mortgage, the policy must include ALTA Endorsement 6-06.
- Effective Date of Coverage: The effective date of the title insurance coverage written on forms that do not provide the gap coverage included in the 2006 ALTA policies may be no earlier than the later of the date of the final disbursement of loan proceeds or the date the mortgage was recorded. Because the 2006 ALTA forms provide protection for the time between loan closing and recordation of the mortgage, policies written on those forms may be effective as of loan closing.

- Amount of Coverage: The amount of title insurance coverage must at least equal the original principal amount of the mortgage.
- Chain of Title: The title report must include a 24-month chain of title which was prepared not earlier than 90 days prior to the Date of the Loan, and which includes the transfer date, names of buyers and names of sellers for any conveyances within the past 24 months,
- The Borrowers' names must be indicated on the title commitment and must be identical as the Borrowers' names on the note and mortgage without any variances for spelling, use of a middle name or use of a personal title.
- If Borrower's marital status appears to be different than on 1003, the discrepancy must be addressed.
- The title insurer must provide a closing protection letter covering the closing settlement agent's errors, omissions, fraud, theft, and embezzlement (except that in New York State a closing protection letter is not required).

If the title being insured is for a condominium unit, the following additional title policy requirements are applicable:

- An ALTA 4-06 or 4.1-06 endorsement or equivalent is required to be attached and incorporated into the text of the policy.
- If the homeowner's association owns the common areas or facilities of the project separately, the title insurance must insure such ownership.
- The title policy must provide for the following:
    - The mortgage must be superior to any lien for unpaid common expense assessments.
    - Insurance covers against any impairment or loss of title by any past, present, or future violations of any covenants, conditions, or restrictions of the master deed for the project
    - The unit does not encroach on another unit or any of the common areas/facilities.
    - The mortgage is secured by a unit in the condo project that has been created in compliance with applicable statutes.
    - The real estate taxes are assessable only against the condo unit and its undivided interest in the common elements rather than the project as a whole.

3.1.2 Title Exceptions

Logan will not purchase a mortgage secured by property that has an unacceptable title impediment, particularly unpaid real estate taxes and survey exceptions. If survey is not commonly required in particular jurisdictions, the Seller must provide on ALTA 9 Endorsement. If it is not customary in a particular area to supply either the survey or an endorsement, the title policy must not have a survey exception.

The following title exceptions are permissible regarding loans sold to Logan, provided that they are also permissible in accordance with Fannie Mae's title insurance requirements:

- Customary public utility subsurface easements, the location of which are fixed and can be verified.

- Above-surface public utility easements that extend along one or more property lines for distribution purposes or along the rear property line for drainage, provided they do not extend more than 12 feet from the subject property lines and do not interfere with any of the buildings or improvements, or with the use of the subject property, and further provided their violation will not result in the forfeiture or reversion of title or a lien of any kind for damages, or have an adverse effect on the fair market value of the subject property.
- Mutual easement agreements that establish joint driveways or party walls constructed on the subject property and on an adjoining property, provided all future owners have unlimited and unrestricted use of them.
- Encroachments on one foot or less on adjoining property by eaves or other overhanging projections or by driveways provided there is at least a ten (10) foot clearance between the buildings on the subject property and the property line affected by the encroachments.
- Encroachments on the subject property by improvements on adjoining property provided these encroachments extend one foot or less over the property line of the subject property, have a total area of 50 square feet or less, do not touch any buildings, and do not interfere with the use of any improvements on the subject property or the use of the subject property not occupied by improvements.
- Encroachments on adjoining properties by hedges or removable fences.
- Liens for real estate or ad valorem taxes and assessments not yet due and payable.
- Outstanding oil, water, or mineral rights as long as they do not materially alter the contour of the property or impair its value or usefulness for its intended purposes.

3.2 Hazard Insurance

The improvements on the property securing the Loan must be covered by a hazard insurance policy for the benefit of the Seller and its assignees.

Insurance policy dwelling coverage amount must be equal to or greater than one of following:

- Estimated Cost to Rebuild New (reflected on appraisal)
- Replacement cost estimator provided by insurance company
- Subject loan amount, provided the loan amount is equal to at least 80% of the insurable value per an RCE received by the insurance agent (if agent is unable to provide an RCE, Loan processor certification confirming the insurable value amount will be required - cert must include date/time, name/contact information of insurance agent)

OR

- Policy contains the verbiage “100% Replacement Cost”, “Guaranteed Replacement Cost” or “Replacement Cost” for Dwelling coverage
- Loan Processor certification provided confirming coverage includes “replacement cost” (certification must include date/time, name/contact information of insurance agent)
- Insurance Agent certification provided confirming coverages includes “replacement cost”

Policies on subject investment properties must include additional rent loss coverage of no less than six (6) months. In cases where rental income is not used for qualifying, rent loss coverage of no less than six (6) months is still required. Rent loss amount must cover the rent amount used for qualifying. If no rent is being used for qualifying no less than six (6) months of the market rent is required.

In addition, the hazard insurance policy must conform to Fannie Mae's requirements for hazard insurance and to all of the following requirements:

- Deductibles may not exceed five percent (5%) of the face amount of the insurance policy.
- The policy must contain the Borrower's name, the agent's name, the agent's company name and the full address of the subject property and be in effect at closing.
- The Mortgage File must document payment of the premium for the hazard file
- For purchases, the premium for one year of coverage, effective from date the Borrowers acquire the Subject Property, must be paid in full and for refinances if the policy is to be renewed within 60 days of the note date, the premium must be paid at closing.
- The hazard insurance policy must be underwritten by a carrier that meets the following requirements:
    - Carriers rated by A.M. Best Company, Inc. must be rated "B" or better.
    - Carriers rated by Demotech, Inc. must have an "A" or better rating in Demotech's Hazard Insurance Financial Stability Ratings.
    - Carriers rated by Standard and Poor's must have a "BBB" or better Insurer Financial Strength Rating in the Standard and Poor's Ratings Direct Insurance Service
    - Carriers not rated by any of A.M Best Company, Inc, Demotech, Inc. or Standard and Poor's are ineligible and policies from such carriers may not be used to meet the hazard policy requirements of these Underwriting Guidelines.

3.3 Flood Insurance

If the Subject Property located within any area designated by the Federal Emergency Management Agency (FEMA) as an Area of Special Flood Hazard, then for the Loan secured by the Subject Property to must be covered by flood insurance.

To determine whether the Subject Property is in a flood zone, Sellers must obtain a Flood Certificate on the lot of the Subject Property from a nationally recognized Flood Certificate provider.

3.3.1 Required Flood Insurance

If flood insurance is required, then the amount or required insurance is the lessor of (i) full replacement cost coverage for the improvements on the Subject Property, or (ii) the maximum coverage available under the National Flood Insurance Administration program. The flood insurance must conform to the flood insurance requirements of Fannie Mae, and must also conform to all of the following requirements:

- Deductibles permitted up to the maximum deductible available under the National Flood Insurance Program (NFIP).
- The Borrower name and the Subject Property address must be on the flood insurance application and binder.
- The flood insurance policy must contain a mortgagee clause, naming lender and its assignees as the loss payee.
- Evidence of coverage must be provided at closing.

The requirement for flood insurance requirement may be waived if:

- The subject property improvements are not in the area of Special Flood Hazard, even though part of the land is in Flood Zone A or V; or
- The Borrowers obtain a letter from FEMA stating that its maps have been amended so that the subject property is no longer in an area of Special Flood Hazard.

4. Transaction Types

4.1 Purchase

- Proceeds from the transaction are used to finance the acquisition of the subject property.
- LTV/CLTV is based on the lesser of the sales price or appraised value.
    - In the case of an assignment of contract the lesser of the purchase price on the original contract or the appraised value must be used. The assignment fee cannot be incorporated into the purchase price.

4.2 Rate/Term Refinance

- Proceeds from the transaction are used to:
    - Pay off an existing first mortgage loan and any subordinate loan used to acquire the property.
    - Pay off any subordinate loan not used in the acquisition of the subject property provided one of the following apply:
        - Closed-end loan, at least 12 months of seasoning has occurred.
        - HELOC’s that have been drawn on in the last 12 months are not eligible.
- Buy out a co-owner pursuant to an agreement.
- Pay off an installment land contract executed more than 12 months from the loan application date.

Other considerations:

- Cash back in an amount not to exceed the lesser of 2% of the new loan amount or $5,000 which can be included in the transaction.
- LTV/CLTV is based upon the appraised value.

- Refinance of a previous loan that provided cash-out, as measured from the previous note date to the application date, and is seasoned less than 12 months, will be considered a cash-out refinance.

4.3 Cash-out Refinance

- A refinance that does not meet the definition of a rate/term transaction is considered cash-out.
- A mortgage secured by a property currently owned free and clear is considered cash-out.
- No portion of the principal due on a mortgage loan encumbering the subject property is being forgiven in connection with the refinance.
- The payoff of delinquent real estate taxes (60 days or more past due) is considered cash-out.
- A letter explaining the use of loan proceeds is required for all transactions.
    - If the loan is a business purpose loan the cash-out proceeds must be used for business purposes.

Cash-Out Seasoning is defined as the difference between note date of the new loan and the property acquisition date.

- Cash-out seasoning of less than six months will require the use of the lower of original purchase price or the appraised value for the LTV calculation, including delayed financing.
- Max Cash in hand is limited to 500,000 if either of the following are true:
    - The LTV/CLTV is greater than 60%.

4.3.1 Texas Cash Out Transactions – refer to "Exhibit A"

5. Borrower Eligibility

5.1 Residency

5.1.1 US Citizen/Permanent Resident Alien

All United States citizens and Permanent Resident Aliens as defined below are eligible without any guideline restrictions.

A permanent resident alien is a non-U.S. citizen authorized to live and work in the U.S. on a permanent basis. Permanent resident aliens are eligible for all types of financing. Logan must make a determination of the non-US Citizen's status based upon the circumstance of the individual case, using documentation deemed necessary and acceptable per applicable US requirements.

- Acceptable evidence of permanent residency includes the following:

- Permanent Resident Card I-551 (Green Card) that does not have an expiration date on the back)
- Alien Registration Receipt Card I-551 that has an expiration date on the back and is accompanied by a copy of the filed INS Form I-751 (petition to remove conditions).
- Non-expired foreign passport that contains a non-expired stamp (valid for a minimum of three years) reading "Processed for I-551 Temporary Evidence of Lawful Admission for Permanent Residence. Valid until [mm-dd-yy]. Employment Authorized."

5.1.2 Non-Permanent Resident Alien

A Non-Permanent Resident Alien is a non-U.S. citizen authorized to live and work in the U.S. on a temporary basis.

- Legal Status Documentation

  Borrower has a Social Security Number (SSN) and a current verified status, which may be documented by a valid employment authorization card; **OR**

  - A valid Visa and Social Security Number (SSN)
    - Visa types allowed: E-1, E-2, E-3, EB-5, G-1 through G-5, H-1, L-1, NATO, O-1, R-1, TN NAFTA.
    - Visa must be current. If the visa will expire within six months following the close Note date, additional documentation is required: evidence that the proper extension steps have been followed per the USCIS website, along with proof of payment receipt and proof that the extension was done in the timeframe required by USCIS.
    - When applicable, a valid Employment Authorization Document (EAD) is required for US employment if Borrower is not sponsored by a current employer. If the visa will expire within six months of loan application Note date, it is acceptable to obtain a letter from the employer documenting the Borrower's continued employment and continued visa renewal sponsorship. The employer on the loan application must be the same as on the unexpired visa.

  • Valid Social Security Number (SSN); and

  • Current, verified status, which may be documented by a valid employment authorization document (EAD) supported by I-797 form showing immigration status/program, or other documentation showing immigration status is current (e.g., Green Card, work visa, etc.).

Documents must be current at the time of the note date. If any document is expiring within six months following the note date, it is acceptable to provide proof of application for renewal documented by receiving agency (e.g., filing receipt, letter with case receipt confirmation.)

Borrowers unable to provide evidence of lawful residency status in the U.S. are not eligible for financing.

5.1.3 Foreign National Alien

A foreign national alien is defined as a Borrower that does not live and work in the US. This does not include permanent resident aliens or non-permanent resident aliens. If Borrowers do not have a valid work VISA, or work authorization card, and live and work outside the US, they are considered foreign national aliens. In addition, foreign national aliens are limited to loans on 2nd homes and Business purpose/investment.

- Foreign national aliens must provide a valid passport.
- Eligible for full documentation and debt service coverage
- Borrowers with diplomatic immunity and/or ITIN's are not allowed.
- Powers of Attorney (POA) are not allowed.
- Vesting in an entity is allowed, but no part of the entity can be foreign refer to Section 5.3
- ACH Form Required

5.1.3.1 Foreign National Alien Remote Online Notarization

Logan will permit Foreign National loans to close using a remote online notary in accordance with Freddie Mac's requirements. In addition to Freddie Mac's requirements Logan requires the notary obtain a minimum of two forms of photo identification with a signature such as government issued ID and passport.

In order to close using a remote on-line notary the state the subject property is located it must permit closing via a remote online notary.

5.1.4 Non occupant co-Borrower

A non-occupant Borrower is anyone, who is willing and financially able to credit qualify for the subject loan, but who will not live in the home. All non-occupying co Borrowers must be a relative, defined as the Borrower's spouse, child, or other dependent, or by any other individual who is related to the Borrower by blood, marriage, adoption, or legal guardianship.

Non-occupying co-Borrower's income, assets and credit will be considered for qualification purposes.

5.2 Maximum loan exposure to One Borrower or Guarantor/ Financed properties

Logan will not purchase more than 6 loans or an aggregate principal amount of $5,000,000 to one Borrower, whichever comes first.

5.3 Vesting and Ownership

Ownership must be fee simple title. Title must be in the Borrowers name at the time of application for refinance transactions. Loans held in an LLC or Trust at the time of the application for refinance transactions are permitted if the following are met:

- If the property was owned prior to closing by a limited liability corporation (LLC) that is majority-owned or controlled by the Borrower(s)
- If the property was owned prior to closing by an inter vivos revocable trust the Borrower must be the primary beneficiary of the trust.

Eligible forms of vesting are:

- Individuals
- Tenants in common
- Joint tenants
- Inter vivos revocable trust

Ineligible forms of vesting are:

- Land trusts
- IRAs
- Blind trusts
- LP's

Title vesting in an inter vivos revocable trust is permitted when the requirements set forth in this section are followed. The Fannie Mae requirements should be followed to the extent this section is silent. Any created greater than or equal to 5 years of the application date a trust certificate is required.

The trust must be established by one or more natural persons, solely or jointly. The primary beneficiary of the trust must be the individual(s) establishing the trust. The trust must become effective during the lifetime of the person establishing the trust. If the trust is established jointly, there may be more than one primary beneficiary as long as the income or assets of at least one of the individuals establishing the trust will be used to qualify for the mortgage.

The trustee must include either:

- The individual establishing the trust (or at least one of the individuals, if two (2) or more.
- An institutional trustee that customarily performs trust functions and is authorized to act as trustee under the laws of, the applicable state.

The trustee must have the power to hold the title, and mortgage the property. This must be specified in the trust. One or more of the parties establishing the trust must use personal income or assets to qualify for the mortgage. The following documentation is required:

- If the trust was created under California law, a fully executed Certificate of Trust under Section 18100.5 of the California Probate Code.
- If the trust was created under the laws of a state other than California:
    - Attorney's Opinion Letter from the Borrower's attorney or Certificate of Trust verifying all the following:
        - The trust is revocable.
        - The Borrower is the settler of the trust and the beneficiary of the trust.
        - The trust assets may be used as collateral for a loan.
        - The trustee is:
            - Duly qualified under applicable law to serve as trustee
            - The Borrower
            - The settler
            - Fully authorized under the trust documents and applicable law to pledge, or otherwise encumber the trust asset

In addition to the vesting's listed above business purpose/investment loans will allow a loan to close in an LLC or Corporation if all of the following requirements are met:

- The LLC or Corporation is formed in the United States.
- Each Member/Owner of the LLC or Corporation with 20% or greater ownership of the LLC or Corporation must be a Guarantor for the loan and meet the credit qualifications of these guidelines.
- The LLC or Corporation is owned by Individual(s). The LLC or Corporation is not eligible if it is owned by another entity.

If the Guarantor is closing in an LLC, the following documentation is required for review:

- IRS EIN Letter, Bank Verified EIN, or State Verified EIN
- Certificate / Articles of Formation / Organization
- Operating Agreement inclusive of all schedules, amendments and resolutions. Corporate resolutions/amendments changing ownership interest dated mid-application are not permitted.
- Certificate of Good Standing or evidence of active status on states website

If the Guarantor is closing in a Corporation the following documentation is required:

- IRS EIN Letter, Bank Verified EIN, or State Verified EIN
- Articles of Incorporation
- Certificate of Incumbency and/or Corporate Bylaws setting forth Corporate Officer(s) and Director(s)

- Current Stock Ledger
- Corporate Resolutions (if applicable). Corporate resolutions/amendments changing ownership interest dated mid-application are not permitted.
- Certificate of Good Standing or evidence of active status on states website

In addition to the below documents must be completed as follow

- Loan Application
  - Completed for each Personal Guarantor of the entity
  - Signed by the Personal Guarantor ‘s of the entity
- Personal Guaranty
  - Completed for each Personal Guarantor of the entity
  - Signed by the PG and signed and dated the same date of the note
- Note
  - Signed by the Personal Guarantor
- Mortgage w/Riders
  - Signed by the PG
  - Vested in Entity
- W-9
  - In entity name including EIN
- Disclosures
  - State or Federal disclosures signed by the Personal Guarantor

Example signature block below for the note, security instrument and all riders

ABC Investor, LLC a (______) limited liability company

________John Guarantor_____

By: John Guarantor
Title: [Member, Managing Member etc..]

And

ABC Investor , LLC a (______) limited liability company

________Joe Guarantor_____

By: Joe Guarantor
Title: [Member, Managing Member etc..]

5.4 Country restrictions

Foreign national borrowers must be reviewed against (i) the federal government’s OFAC sanctions and restrictions as well as (ii) any state law restrictions on ownership of property.

5.4.1 OFAC Sanctions.

US Department of Treasury/Office of Foreign Asset Control publishes restrictions against certain Foreign National Borrowers at http://www.treasury.gov/resource-center/sanctions/Programs/Pages/Programs.aspx

Foreign Nationals from the following countries are ineligible based on complete country OFAC sanctions

- Cuba
- Iran
- North Korea
- Syria.

Foreign Nationals from the following countries **may** be ineligible and require Compliance review and Head of Underwriting Review

- Afghanistan
- Balkans
- Belarus
- Burma
- Central Africa
- Congo
- Ethiopia
- Hong Kong
- Iraq
- Lebanon
- Libya
- Mali
- Nicaragua
- Russia
- Somalia
- Sudan
- Ukraine
- Venezuela
- Yemen

5.4.2 State Law Restrictions

In addition, to review for OFAC sanctions Foreign National Borrowers must legally be permitted to purchase or refinance the subject property in accordance with state laws where the subject property is located.

Additionally, any Borrower who is not a US citizen must be legally permitted to purchase or refinance the subject property in accordance with state laws for which the subject property is located.

Any borrower and/or non-borrowing individual holding title to the subject property (including entity members of trusts, LLC's, and/or corps) who is not a US citizen and has citizenship from any of the countries below will require review and approval from LFC Legal Department.

- People's Republic of China
- Russian Federation
- The Venezuelan regime of Nicolás Maduro

5.5 OFAC

No Borrower may be listed on the United States Treasury's OFAC website. Sellers must determine if a Borrower is listed on the OFAC website and must include in the Mortgage File documentation showing the Borrower is not listed on the OFAC website.

6. Credit and Liabilities

6.1 General Requirements

A credit report is required for each individual Borrower, including any member of an entity providing a personal guaranty. The credit report should provide merged credit data from the three major credit repositories: Experian, TransUnion, and Equifax. Either a three-bureau merged report, or a Residential Mortgage Credit Report is required.

The credit report used to evaluate a loan may not reflect a security freeze. If the Borrower(s) un-freeze credit after the date of the original credit report, a new tri-merged report must be obtained to reflect current and updated information from all repositories.

The credit report must be dated within 120 days of the note date.

6.2 Qualifying Credit Score Requirements

Each loan program has a required minimum credit score which is determined by the loan program matrix. To determine if a Loan meets the minimum credit score requirement for its Loan Program, Sellers must determine the Loan's Qualifying Credit Score. If the Qualifying Credit Score for a Loan is less than the required score, then the Loan is ineligible. In addition, the Qualifying Credit Score must be used to determine if a Loan complies with other Loan Program requirements which are dependent on credit score, such as maximum loan amount for a given loan to value ratio (LTV). For all Borrower with the exception of Foreign National Borrowers, the minimum FICO score among all Borrowers is 620.

For Full Doc, Bank Statement, Profit and Loss Only and Asset Qualification loans

The Qualifying Credit Score is the credit score of the Borrower with the greatest income among all Borrowers. If there is no greatest income earner due to the Borrowers having equal income the lower Qualifying Score amount among those Borrowers. The Qualifying Credit Score for a Borrower is

- the middle score for Borrowers with three Credit Scores,
- the lower score for Borrowers with two Credit Scores.

If a non-occupying co Borrower is being used to qualify for the loan the Qualifying Credit Score will be the lower of credit score for the occupying Borrower with the greatest income and the non-occupying co Borrower.

For Debt Service Coverage Debt Service Coverage Low Ratio and Debt Service Coverage Elite

The Qualifying Credit Score is the credit score of the Borrower/Guarantor with the greatest Qualifying Credit Score. The Qualifying Credit Score for a Borrower is

- the middle score for Borrowers with three Credit Scores,
- the lower score for Borrowers with two Credit Scores.

Only credit scores from Experian, Trans Union and Equifax will be considered when determining the Qualifying Credit Score. In addition, all Borrowers who are defined as US Citizen, Permanent Resident Aliens or Non-Permanent Resident Aliens must have a minimum of two credit scores.

Foreign National Aliens are not required to have a Qualifying Credit Score; however, the Seller must attempt to pull a credit report for the Foreign National Alien's Borrower. If the Foreign National Alien's Borrower has a Qualifying Credit Score and meets the minimum tradeline requirement in Section 6.3 it must be used to determine the Borrower's eligibility. (If the tradeline requirement is not met, default to Foreign National with No Score matrix)

6.3 Tradeline Requirements

All US Citizen, Permanent Resident Aliens or Non-Permanent Resident Aliens jointly the must have:

- 3 tradelines reporting for 12 months.
- 2 of the 3 tradelines must have been active in the last 12 months.
- The following are eligible tradelines.

- Any account reported by Experian Trans Union or Equifax
- Verification of mortgage in accordance with these guidelines
- Verification of rent in accordance with these guidelines
- Verification of installment debt in accordance with these guidelines

Trade lines for which more than one Borrower is obligated may only be counted as one trade line.

Foreign National Aliens are not required to meet a minimum tradeline requirement if they are not using a credit score of qualify.

6.4 Liens, Judgments, and other Attachments

Logan will not purchase any loan where the Borrower is subject to lien, judgment or any item with will attach to Subject Property Title other than IRS liens to repay delinquent federal taxes. All other liens. judgment, or other attachments must be paid in full prior to closing. Proceeds from a cash-out refinance may be used to pay off any liens, judgements or other attachments.

IRS liens for delinquent federal taxes need not be paid off if the following are true:

- The Borrower(s) have entered into an official installment agreement.
- The Borrower(s) must be current on the installment agreement with a minimum of six payments made under the plan and must document that they are current by providing either the most recent payment reminder from the IRS, reflecting the last payment amount and the next payment due, or a letter from the IRS indicting the installment plan is current.
- Neither the Borrower(s)' credit report(s) or title report used to underwrite the Subject Loan may indicate that a lien was filed to secure amounts due to the IRS except if either the lien is subordinated to the Subject Loan through formal subordination agreement from the IRS
- The maximum payment required under the plan is included in the DTI calculation.
- The balance of the lien, or repayment plan, must be included when determining the maximum CLTV for the program.

Payments to be made under the IRS installment agreements must be included in the calculations of, as applicable, the Debt to Income or Residual Income ratio.

6.5 Collection and Charge-off Accounts

All collection and charge off accounts must be paid in full prior to the closing of the Subject Loan unless any of following are true (any account not required to be paid in full will still require additional reserves equal to the account balance(s)):

- The account balance is $1,000 or less.
- The account is in dispute.

- The account is no longer enforceable due to the state statute of limitations.

  Medical collections may remain open and do not require additional reserves.

6.6 Mortgage and Housing History Requirements

6.6.1 First Time Home Buyer and First Time Investor

First Time Home Buyer defined as an individual who has not had ownership of a property either solely, jointly or through an entity within the preceding three year period.

First time investor defined as an investor that does not have at least twelve (12) months of experience owning and/or managing income-producing real estate within the most recent thirty-six (36) months from the origination of the Note.

6.6.2 Mortgage and Housing History Requirements Full Doc, Bank Statement, Profit and Loss Statement and Asset Qualification

No Borrower may be more than 1x30x12 or 0x30x6 on any mortgage or rental payment for a property located in the United States.

All borrowers must document their current housing payment history for the most recent 12 months. If the credit report does not reflect the current housing payment history, the following documentation is required:

- Mortgage and/or HELOC payments:
    - Loan payment history from the servicer or third-party verification service,
    - Verification of mortgage (VOM) from an institutional lender OR most recent 12 months cancelled checks or bank statements
    - Verification of mortgage (VOM) from a private lender OR 12 months cancelled checks or bank statements.
- Owned free and clear:
    - Most recent 12 months property taxes paid on time
- Rent payments:
    - Canceled checks can be provided. In lieu of cancelled checks, the lender may use the borrower's bank statements, copies of money orders or other reasonable methods for documenting timely housing payments. The documentation must clearly indicate the payee and amount being paid and reflect the payments were made on a consistent basis for the last 12 months; or

      Direct Verification of payment of rent from the landlord, both Individual landlords and management companies for the 12 months
- First Time Home Buyer living rent free:

- Only permitted on primary residence transactions

Foreign national Borrowers are only required to document mortgage and rental history for properties located in the United States

6.6.3 Mortgage and Housing History Requirements Debt Service Coverage Ratio, Debt Service Coverage Low Ratio, and Debt Service Coverage Ratio Elite

For the Debt Service Coverage Ratio, Debt Service Coverage Low Ratio, and Debt Service Coverage Ratio Elite no Borrower may be more than 1x30x12 or 0x30x6 on any mortgage or rental payment for the subject property, the Borrowers primary housing, and all mortgages listed on the credit report.

All borrowers must document their current housing payment history for the most recent 12 months for Subject Property, the Borrowers primary housing and all mortgage listed on the credit report. If the credit report does not reflect the current housing payment history for the Subject property or the Borrower current primary housing, the following documentation is required:

- Mortgage and/or HELOC payments:
  - Loan payment history from the servicer or third-party verification service,
  - Verification of mortgage (VOM) from an institutional lender OR most recent 12 months cancelled checks or bank statements
  - Verification of mortgage (VOM) from a private lender OR 12 months cancelled checks or bank statements.
- Owned free and clear:
  - Most recent 12 months property taxes paid on time
- Rent payments:
  - Canceled checks can be provided. In lieu of cancelled checks, the lender may use the borrower’s bank statements, copies of money orders or other reasonable methods for documenting timely housing payments. The documentation must clearly indicate the payee and amount being paid and reflect the payments were made on a consistent basis for the last 12 months; or
  - Direct Verification of payment of rent from the landlord, both individual landlords and management companies for the 12 months
- First time homebuyer living rent free:
  - Only permitted on primary residence transactions

Foreign national Borrowers are only required to document mortgage and rental history for properties located in the United States

6.7 Consumer Credit

6.7.1 Installment Debt

Installment debt is a monthly obligation with fixed payments and terms. Payments on installments must be included in the Borrower's debt-to-income (DTI) ratio.

Payments can be excluded if there are 10 or fewer monthly payments remaining to pay the debt in full. If the payment is substantial and exceeds 5% of the Borrower's qualifying income, the overall transaction should be reviewed to ensure the remaining payments will not impact the Borrower's ability to handle the new mortgage payment.

Installment debt paid in full or prior to closing can be excluded from the debt-to-income ratio. Supporting documentation, such as a credit supplement or direct verification from the creditor, must be obtained as evidence the debt has been paid in full.

6.7.2 Lease Payments

Lease payments must be considered as recurring monthly debt obligations and included in DTI ratio calculation. This is regardless of the number of months remaining on the lease. This is because the expiration of a lease agreement for rental housing or an automobile typically leads to either a new lease agreement, the buyout of the existing lease, or the purchase of a new vehicle or house.

6.7.3 Student Loans

If a monthly student loan payment is provided on the credit report, the Seller may use that amount for qualifying purposes. If the credit report does not reflect the correct monthly payment, the Seller may use the monthly payment that is on the student loan documentation (the most recent student loan statement) to qualify the Borrower. If the credit report does not provide a monthly payment for the student loan, or if the credit report shows $0 as the monthly payment, the Seller must determine the qualifying monthly payment. For deferred loans or loans in forbearance, the Seller may calculate:

- A payment equal to 1% of the outstanding balance (even if this amount is lower than the actual fully amortizing payment), or
- A fully amortizing payment using the documented loan repayment terms.

6.7.4 Deferred Installment Debt

Deferred installment debts must be included as part of the Borrower's recurring monthly debt obligations. For deferred installment debts other than student loans, if the Borrower's credit report does not indicate the monthly amount that will be payable at the end of the deferment period, the Seller must obtain copies of the Borrower's payment letters or forbearance agreements so that a monthly payment amount can be determined and used in calculating the Borrower's total monthly obligations.

6.7.5 Balloon-Payment

Balloon-payment notes that come due within one year of the loan closing must be considered in the underwriting analysis. The borrower must have additional reserves to cover the Balloon payment.

6.7.6 Revolving Debt

Revolving debt is open-ended debt in which the principal balance may vary from month to month. The minimum required payment, as stated on the credit report or current account statement, should be used to calculate the debt-to-income ratio. If no payment is stated on the credit report, the greater of $10 or 5% of the current balance should be included in the DTI ratio calculation.

Equity lines of credit secured by real estate should be included in the housing expense. If the credit report does not show a minimum payment amount, the Seller must use 5% of the outstanding balance to be included in the DTI ratio calculation.

Revolving accounts can be paid off prior to or at closing in order to exclude the payment from the debt ratio. Supporting documentation, such as a credit supplement or direct verification from the creditor, must be obtained as evidence the debt has been paid in full, the account can remain open.

Any non-mortgage account can be no more than 30 days delinquent at time of application. Any delinquent account must either be brought current or paid off at closing.

All mortgage accounts must be current at application and remain paid as agreed through closing.

6.7.7 Disputed Accounts

When the credit report contains disputed tradelines (excluding collection and/or charge off accounts) the credit file should be documented with a credit supplement showing the account(s) have been resolved. If the disputed account balance is $250 or less, the payment can be included in the total debt calculation (not applicable to DSCR programs) and the account can remain in dispute. The total aggregate balance of accounts in dispute remaining unresolved can't exceed $2,000.

6.8 Principal and Interest Payment for the Subject Property

6.8.1 Full Doc, Bank Statements, Profit and Loss Only and Asset Qualification

The rate used to calculate the of the qualifying principal and interest for DTI and Reserves should be as follows for Full Doc, Bank Statement, Profit and Loss Only and Asset Qualification loans:

- The higher of the fully indexed rate (where applicable) or the note rate

- The amortization period will be as follows.
  - Loans without an interest only period
    - The term of the loan

  - 10-Year IO loans
    - 30 years for loans with 40 year terms
    - 20 years for loans with 30 year terms

6.8.2 Debt Service Coverage, Debt Service Coverage Elite, and Low Ratio

For Debt Service Coverage, Debt Service Coverage Elite and Low Ratio loans the following will be used for DSCR and Reserves:

- Fully amortized including Fixed rate and ARM's
  - Fully amortized payment using the Initial Note Rate

- Interest Only Loans including fixed rate and ARM's
  - The interest only payment using the Initial Note Rate

6.9 Derogatory Credit

The seasoning requirement for derogatory credit is four years for Bankruptcy, Foreclosure, Short Sale/Deed in lieu at standard eligibility requirements.

A waiting period of two years is permitted if the LTV's less than or equal to 70% for all program except, Profit and Loss Only, and Debt Service Coverage Elite

The length of time will be measured based on the below:

- Bankruptcy: by the discharge/dismissal date to the Note date.
- Foreclosure: by the settlement date to the Note date, unless included in a bankruptcy then the discharge date of the bankruptcy to the Note date will be used.
- Short Sale/Deed-in-lieu: by the completion date to the Note date unless included in a bankruptcy then the discharge date of the bankruptcy to the Note date will be used.

  - Forbearance, loan modifications, or deferrals are treated as a short sale / deed-in-lieu for eligibility and pricing purposes.

Any loan in forbearance or a deferral due to COVID-19 is not considered derogatory credit and is still eligible for purchase by Logan at standard LTV and reserves if one of the following is true:

1. The loan is fully reinstated meaning the deferred balance was paid in full and the source of the funds used to pay the deferred balance has been sourced to an allowable asset in accordance with section 8 of these underwriting guidelines, and the borrower has made at a minimum the last 3 months consecutive payments
2. The Borrower has exited the forbearance or deferment and has made at least 6 months consecutive payments

Any loan payment history that appears to reflect the above may require additional documentation, such as canceled checks or bank statements to show payments were made.

6.10 Obligations Not Appearing on the Borrowers Credit Report

All mortgage, rental payments, installment for revolving debt not included on the Borrower credit report must be documented by the Seller. The Seller must obtain both the outstanding balance and monthly payment on each account located in the United States. The Seller must obtain a Verification of Mortgage, Verification or Rent, Verification or Revolving debt and, in the case of a mortgage or rental account proof of twelve months payment from the Borrower in the form of bank statements or canceled checks.

6.11 Pending Lawsuits and Litigation

If the application, title or Credit Report reveal that a Borrower is presently involved in a lawsuit or pending litigation a statement from the Borrower's attorney is required. The statement must explain the circumstances of the lawsuit or pending litigation and discuss potential liability and any applicable insurance coverage. A copy of the legal complaint and answer must be included in the Mortgage File. The title company closing the loan must be informed of the lawsuit, and no title exceptions are permitted which stem from the lawsuit or pending litigation. If the lawsuit or litigation is reasonably likely to have a material adverse impact on the Borrower's ability to repay a Loan, or if the lawsuit or pending litigation or the cause of a title exception, then the Loan is ineligible.

7. Income

7.1 Income Analysis

7.1.1 Income Worksheet

The loan file must include an income worksheet detailing income calculations. Income analysis for Borrowers with multiple businesses must show income/loss details for each business separately, not in aggregate.

7.1.2 Stability of Income

- Stable monthly income is the Borrower's verified gross monthly income which can be reasonably expected to continue for at least the next three years. The Seller must determine that both the source and the amount of the income are stable.
- A two-year employment history is required for the income to be considered stable and used for qualifying.
- When the Borrower has less than a two-year history of receiving income, the Seller must provide a written analysis to justify the stability of the income used to qualify the Borrower.
- While the sources of income may vary, the Borrower should have a consistent level of income despite changes in the sources of income.

7.1.3 Earning Trends

When analyzing Borrower earnings, year-over-year earnings trends must be incorporated into the Borrower's income calculation in accordance with the below.
When evaluating variable income for wage earners including, but not limited to bonus or overtime, after the monthly year-to-date income amount is calculated, it must be compared to prior years' earnings using the Borrower's W-2's or signed federal income tax returns.

- If the trend in the amount of income is stable or increasing, the income amount should be averaged.
- If the trend was declining but has since stabilized and there is no reason to believe that the Borrower will not continue to be employed at the current level, the current, lower amount of variable income must be used.
- If the trend is declining, the income may not be stable. Additional analysis must be conducted to determine if any variable income should be used, but in no instance may it be averaged over the period when the decline occurred.

When evaluating self-employed income using signed federal tax returns or bank statements including 1099's the earning trends are addressed as follows:

- Stable or increasing: The income amounts should be averaged.
- Declining but stable: If the 24-month earnings trend shows a decline in Borrower income, but the most recent 12-month earning has stabilized and there is no reason to believe the Borrower's employment will change, the most recent 12-month average of income should be used.

7.2 Debt-To-Income (DTI) Ratio

The Debt-to-Income (DTI) ratio is calculated and reviewed for adherence to Fannie Mae guidelines.

Maximum DTI Ratio:

- 50%

The DTI ratio consists of two components:

Total monthly debt obligations, which includes the qualifying payment for the subject property mortgage loan and other long-term and significant short-term monthly debts.

Total monthly income of all Borrowers, to the extent the income is used to qualify for the mortgage.

The subject property mortgage loan is defined as the Borrower's housing payment and includes PITIA and/or principal and interest on any subordinate lien financing.

The property taxes, Homeowner's Insurance (HOI), Flood Insurance, and HOA dues of a primary residence that is owned free and clear will be considered in the Borrower's housing history grade determination and must remain current throughout the transaction.

7.3 Transcripts

Tax transcripts are required for the following income documents if being used to qualify and must be ordered by the Lender.

- W2
- Personal Tax Returns
- 1099's

7.4 Income Documentation

Logan requires different methods of determining and documenting income and employment history for the various Logan loan programs. Logan's specific requirements regarding determining and documenting income, and where applicable employment history, are provided in this Section 7.3.

7.4.1 Full Documentation Program

Logan provides two full documentation options to determine a Borrower qualifying income. Under this program any of the following will be acceptable:

- 1 Year Full Documentation
- 2 Year Full Documentation

7.4.1.1 Wage and Salary Income

Income may be documented by a combination of documents below.

- The Borrower's most recent paystubs reflecting 30 days of pay and YTD earnings, along with IRS W-2 forms covering the most recent year(s).
- A verbal Verification of Employment (VOE) from current employer, may not be dated more than 10-calendar days prior to closing date. An email directly from the employer's work email address that identifies the name and title of the verifier and the Borrower's name and current employment status may be used in lieu of a verbal VOE.
- The existence of the Borrowers' employer must also be documented via a third-party verification.
- A completed, signed, and dated IRS Form 4506-T or 4506-C is required for each Borrower. The form should be executed and the W-2 transcript for each year must be included in the credit file. Any discrepancies between the two (2) documents should be explained and, if necessary, additional documentation obtained to satisfy the discrepancy.

7.4.1.2 Self-Employment

Income may be documented by a combination of documents below.

- The most recent year of tax returns, personal and business if applicable (including all schedules), signed and dated by each Borrower. (Transcripts are not acceptable in lieu of signed and dated tax returns)
- If the Borrower pays themselves wage income, a YTD paystub must is required.
- A 3rd party tax professional prepared YTD Profit and Loss Statement (P&L), up to and including the most recent month preceding the loan application date. The P&L must be signed and dated by the Borrower. If a gap exists between the tax return ending date and the start date of the YTD P&L, a gap-year P&L is also required. The qualifying income is determined from the tax returns, and the P&L is used to determine the stability of that income.
- A completed, signed, and dated IRS Form 4506-T or 4506-C is required for each Borrower's personal tax return. The form must be executed, and the transcript(s) for the corresponding number of personal tax returns must be included in the credit file. The tax returns and transcripts should be reviewed; any discrepancies should be explained and, if necessary, additional documentation obtained to satisfy the discrepancy
- The seller must document the source of the information and the name and title of the seller's employee who obtained the information.
- The underwriter must consider the financial strength of a self-employed Borrower's business.

7.4.1.3 Rental Income

If a Borrower has a history of renting the subject or another property, generally the rental income will be reported on IRS Form 1040, Schedule E of the Borrower's personal tax returns or on Rental Real Estate Income and Expenses of a Partnership or an S Corporation form (IRS Form 8825) of a business tax return. A current lease is required for any existing property owned by the Borrower if rental income is being used in the DTI calculation. If the lease has expired and/or converted to month-to-month, a cancelled check will be required to show the same tenant is renting the unit. If the Borrower does not have a history of renting the subject property or if, in certain cases, the tax returns do not accurately reflect the ongoing income and expenses of the property, the Seller may be justified in using a fully executed current lease agreement. Examples of scenarios that justify the use of a lease agreement are as below:

- purchase transactions.
- refinance transactions in which the Borrower purchased the rental property during or subsequent to the last tax return filing.
- Refinance transactions of a property that experienced significant rental interruptions such that income is not reported on the recent tax return (for example, major renovation to a property occurred in the prior year that affected rental income).

- When current lease agreements or market rents reported on Form 1007 or Form 1025 are used, the total gross rents must be multiplied by 75% to determine qualifying rental income.
- Application of Rental Income:
  - Primary Residence
    - The monthly qualifying rental income (as defined above) must be added to the Borrower's total monthly income. (The income is not netted against the PITIA of the property.)
    - The full amount of the mortgage payment (PITIA) must be included in the Borrower's total monthly obligations when calculating the debt-to-income ratio.
  - Investment Property
    - If the monthly qualifying rental income (as defined above) minus the full PITIA is positive, it must be added to the Borrower's total monthly income.
    - If the monthly qualifying rental income minus PITIA is negative, the monthly net rental loss must be added to the Borrower's total monthly obligations.
    - The full PITIA for the rental property is factored into the amount of the net rental income (or loss); therefore, it should not be counted as a monthly obligation.
    - The full monthly payment for the Borrower's principal residence (full PITIA or monthly rent) must be counted as a monthly obligation.

7.4.1.4 Projected income

- Projected income is acceptable for qualifying purposes for a consumer scheduled to start a new job within 60 days of loan closing if there is a guaranteed, non-revocable contract for employment.
- The Seller must verify that the Borrower will have sufficient income or cash reserves to support the mortgage payment and any other obligations between loan closing and the start of employment. Examples of this type of scenario are teachers whose contracts begin with the new school year, or physicians beginning a residency after the loan closes.
- The income does not qualify if the loan closes more than 60 days before the Borrower starts the new job.

7.4.1.5 Other Income

All other income should be documented in accordance with Fannie Mae guidelines.

7.4.2 Bank Statement Program

Logan provides 3 ways to calculate income for self-employed Borrower's under the Bank Statement program all of which allow for a 12- or 24-months documentation option.

- Business bank statements

- Personal bank statements (for Borrowers with separate business accounts)
- 1099 statements

Under this program the Borrower whose income is being calculated using bank statements must be self-employed. Wage earner income from a Co-Borrower may be used if not associated with the Borrower's business.

7.4.2.1 Required History of Self-Employment

In order to be eligible for the bank statement program at least one Borrower must be self-employed for at a minimum of two years prior to the Note date. In order to be considered self-employed for the Bank Statement program the Borrower must be at a minimum 25% owner in the business the income is derived from.

Self-employment length and ownership percentage must be documented by one of the following ways:

- Letter from a 3rd party tax professional
- Business license
- LLC or Partnership agreements
- Incorporation records

Verify the existence of the business within 120 days of the Note date and ensure the business is active, with the following:

- a letter from either the businesses tax professional, regulatory agency or licensing bureau, certifying two (2) years of self-employment in the same business, or
- either a phone listing and/or business address using directory assistance or an internet search.
- The seller must document the source of the information and the name and title of the seller's employee who obtained the information

7.4.2.2 Calculating Income using Business Bank Statements

Sellers calculating income using the Business Bank Statements have the option of reviewing the most recent 12- or 24-months bank statements. The income trend must be documented in accordance with section 7.1.3 when 24 months are being used. For the purposes of this analysis method Business Bank Statements will be defined as the bank statements in which the Borrower deposits the revenue their business generates, including personal bank statements for Borrowers who do not have separate business bank accounts.

Sellers must calculate the bank statement cash flow by taking the total deposits going into the Borrower's Business Bank Statements and should deduct:

- transfers from other accounts,

- proceeds from a loan,
- refunded expenses,
- tax refunds,
- deposits from another source of documentable income listed in Section 7.3.2.6.

Deposits totaling over 50% of the average monthly revenue must be sourced to business revenue to be included in the monthly cash flow.

Qualifying income from self-employment is determined by one of the methods below.

a. the monthly net income from the P&L statement, **OR,**
b. by calculating the product of
   1. the average bank statement as defined below into the Borrower's business bank accounts during the most recent 12 or 24 months, times
   2. the percentage of the Borrowers' business owned by the Borrowers, times
   3. 100% minus a Business Expense Ratio applied to the average deposits.

If option A is being utilized the P&L statement can be prepared by a licensed 3rd party tax professional and must cover the same period as the bank statements. The monthly gross revenue from the P&L statement must be supported by the business bank statements provided. Total monthly average deposits per bank statement minus any disallowed deposits must be within 10% of monthly gross revenue reflected on P&L. If 24 months bank statements are being used a P&L for the most recent 12 months must be provided along with a P&L from the 12 months prior must be provided. For example, if the most recent month bank statement is May 2021, a P&L from June 2020-May 2021 and a P&L from June 2019-May 2020 must be provided.

7.4.2.3 Business Expense Ratio

The Borrower's business expense ratio is 50%. If the Borrower's business expense ratio is below 50% then the Borrower's expense ratio can be documented by a letter from a licensed 3rd party tax professional.

Borrowers whose business revenue is derived from capital gains such as property flipping, Interest income or day trading are not eligible for this income calculation method and must document their income using tax returns or assets.

Borrowers whose business revenue is derived from rental income are only permitted if the income is run through an LLC, Corporation or Partnership.

7.4.2.4 Personal Bank Statements

Borrowers operating a business using a separate business bank account may qualify using personal bank statements. Seller must document the Borrower's last 3 months business bank statements, are open an active and show the deduction of reasonable business expense based on the Borrower's business.

Sellers must calculate the bank statement cash flow by taking the total deposits going into the Borrowers Personal Bank Statements and should subtract:

- Transfers from other accounts
    - Transfers from other accounts transfers are coming from the Borrower's Business Bank Statements are permitted
    - Any Transfers from the Borrower's Personal Account to the Borrower's Business Account must be removed from the month cash flow
- proceeds from a loan
- refunded expenses
- deposits from another source of documentable income listed in Section 7.3.2.6.

All deposits over the average monthly revenue must be documented as being derived from an income source in order to be included in the monthly cash flow

Qualifying income from self-employment is based on the average deposits from the bank statement cash flow into the Borrower's personal bank accounts during the most recent 12 or 24 months in accordance with section 7.1.3.

7.4.2.5 1099 Tax Form

Qualifying income is determined by reviewing the 1099(s) and year-to-date bank statement deposits. The 1099 income and the year-to-date bank statements will be multiplied by 90% profit margin to determine the net income.

- If the net income from the year-to-date bank statements is greater than the average net income from the 1099's, the average of the year-to-date bank statements and the 1099 income will be utilized.
- If the net income from the year-to-date bank statements is less than the net income from the 1099's, but the income is stabilized, then the net income from the year-to-date bank statement will be utilized.
- If the YTD bank statements do not clearly reflect the deposits are sourced to the 1099 income, a YTD income printout or WVOE from the 1099 issuer is required.

Only one 1099 may be utilized and issued to the Borrower for a service provided for the same company for two full years. Most Recent years' worth of 1099 statements must be verified with an executed 4506-C obtained by the Lender, and year to date earnings must be verified by Business or Personal Bank Statements.

7.4.2.6 Supplemental Income

- Salary and Wages

Most recent 30 days' pay stubs and previous year(s) W2 from the Borrower/co Borrower's non self-employed income.

- Rental income

  Copy of the current lease and 2 months proof of rent receipts, if the property is newly rented then the Seller must document receipt of first month's rent and security deposit. 75% less the PITIA must be used to calculate the income/loss.

- Alimony or Child Support
  Document the support will continue for at least 3 years by one of the following:
    - Copy of divorce decree or separation agreement.
    - Other type of written legal agreement or court decree

  Document at least six months' receipt of full payments received consistently.

- Disability Income

  Obtain a copy of the Borrower's disability policy or benefits statement. This will determine current eligibility for the benefits, amount and frequency of payments, current proof of receipt, and if there is a contractually established termination or modification date.

  Generally, long-term disability will not have a defined expiration date and should be expected to continue. If the Borrower is receiving short-term disability that will decrease within the next three years because of a conversion to long-term disability, the amount of long-term must be used as income to qualify the Borrower. If the Borrower is receiving short-term disability that will decrease in the near term due to a return to work, the following is also required:

  - A signed letter from the Borrower stating the intent to return to work once the disability no longer exists.
  - Verification from the employer stating that the Borrower will be allowed to return to work once the disability no longer exists.

- Foster Care Income

  Income received from a state or county sponsored organization for providing temporary care for one or more children may be considered acceptable stable income if the following requirements are met:
    - Verify the foster-care income with letters of verification from the organizations providing the income.
    - Document that the Borrower has a two-year history of providing foster-care services.
    - If the Borrower has not been receiving this type of income for two full years, the income may still be counted as stable income if the Borrower has at least a 12-month history of providing foster-care services.
- The income may not represent more than 30% of the total gross income that is used to qualify for the mortgage loan.

- Notes Receivable Income

  Verify that the income can be expected to continue for a minimum of three years from the date of the mortgage Note. Obtain a copy of the Note to establish the amount and length of payment. Document regular receipt of income for the most recent twelve months using either cancelled checks or bank statements. Payments on a Note executed within the past 12 months, regardless of the duration, may not be used as stable income.

- Pension, Retirement, Annuity

  Document regular and continued receipt of the income, as verified by letters from the organizations providing the income, copies of retirement award letters, or 1099 forms, along with at least a one-month proof of current receipt.

  If retirement income is paid in the form of a distribution from a 401(k), IRA, or Keogh retirement account, determine whether the income is expected to continue for at least three years after the date of the mortgage Note. In addition, the Borrower must have unrestricted access to the accounts without penalty.

- Royalty Income

  - Obtain copies of the following:
    - Royalty contract, agreement, or statement confirming amount, frequency, and duration of the income.
    - Confirm that the Borrower has received royalty payments for at least twelve months and that the payments will continue for a minimum of three years after the date of the mortgage Note.

- Social Security Income

  Social Security income for retirement or long-term disability, drawn by the Borrower from his or her own account/work record, will not have a defined expiration date and should be expected to continue. Eligibility needs to be documented with either a copy of the retirement, disability, or supplemental award letter, along with at least one month proof of receipt. Benefits based upon another person's account for retirement, disability, or supplemental income require a copy of the award letter, current proof of receipt, and evidence of a three-year continuance.

- Trust Income

  Confirm the trust income by obtaining a copy of the trust agreement or the trustee's statement confirming the following:
  - The Borrower is a beneficiary.
  - The amount, frequency, and duration of the payments.
  - The trust income will continue for at least three years from the date of the mortgage Note.

  Obtain a copy of the Borrower's bank statements verifying receipt of the income.

- VA Benefit Income

  Document the Borrower's receipt of Veteran Administration (VA) benefits with a letter or distribution form from the VA, along with a one-month proof of receipt. Verify that the income can be expected to continue for a minimum of three years from the date of the mortgage Note. (Verification is not required for VA retirement or long-term disability benefits.) Education benefits are not acceptable income because they are offset by education expenses.

7.4.3 Profit and Loss Only Program

Logan provides a Profit and Loss income analysis self-employed Borrower's under the P&L Only Program all of which allow for a 1- or 2-year option.

7.4.3.1 Required History of Self-Employment

In order to be eligible for the P&L Only program at least one Borrower must be self-employed for at a minimum of two years prior to the Note date. To be considered self-employed for the P&L Only program the Borrower must be at a minimum 50% owner in the business the income is derived from.

Self-employment length and ownership percentage must be documented by one of the following ways:

- Letter from the CPA, EA or CTEC preparing the P&L's

Verify the existence of the business within 120 days of the Note date and ensure the business is active, with the following:

- a letter from either the businesses tax professional, regulatory agency or licensing bureau, certifying two (2) years of self-employment in the same business, or
- either a phone listing and/or business address using directory assistance or an internet search.
- The seller must document the source of the information and the name and title of the seller's employee who obtained the information.

7.4.3.2 Profit and Loss Statement Requirements

The Profit and loss must be prepared by a Certified Public Accountant (CPA), an IRS Enrolled Agent (EA) or CTEC for each business the Borrower will be utilizing for qualifying. P&L's prepared by PTIN's are not permitted. The file must be documented that the CPA is currently licensed in their state, or in the case of an EA or CTEC is active on the IRS website. The CPA EA, or CTEC must attest that they have prepared the Borrower's tax returns for the year(s) P&L(s) they have provided. In addition, the P&L statement must be signed and dated by the borrower, and the CPA, EA or CTEC within 60 days of the Note Date.

The profit and loss must contain itemized expense and must be reasonable for the industry for the Borrower's line of work. A letter of explanation detailing the service the business provides must be included in the loan file.

7.4.3.3 Calculating Income from The Profit Loss Statement Requirements

7.4.3.3.1 1 Year Option

Sellers utilizing the 1-year Profit and Loss option must provide the following:

- Profit and Loss for the most recent 12 months dated no earlier than 60 days prior to the note date.

To calculate the income from the Year-to-Date Profit and Loss Seller must take the sum of the following:

- Net income
- Depreciation,
- Depletion,
- Amortization
- Salary or Distribution paid to the Borrower by the Business

The sum must then be divided by 12 and used as the qualifying income.

7.4.3.3.2 2 Year Option

Sellers utilizing the 2-year Profit and Loss option must provide the following:

- Profit and Loss for the most recent 12 months no earlier than 60 days prior to the note date and
- Profit and Loss for the year prior to the most recent 12 month Profit and Loss

To calculate the income from the most recent calendar year and the prior calendar year Profit and Loss, the Seller must take sum of the following:

- The net income
- Depreciation,
- Depletion,
- Amortization
- Salary paid to the Borrower

The sum must then be divided by twelve for each year's the Profit and Loss

The income trend must be considered when documenting the Borrower's income. If the income is increasing from the prior year to the most recent calendar year the average income for qualify. If the income is declining from the prior year to the most recent year the income from the most recent year must be used for qualifying.

7.4.3.4 Supplemental Income

- Salary and Wages

  Most recent 30 days' pay stubs and previous year(s) W2 from the Borrower/co Borrower's non-self-employed income.

- Rental income

  Copy of the current lease and 2 months proof of rent receipts, if the property is newly rented then the Seller must document receipt of first month's rent and security deposit. 75% less the PITIA must be used to calculate the income/loss.

- Alimony or Child Support
  Document the support will continue for at least 3 years by one of the following:
  - Copy of divorce decree or separation agreement.
  - Other type of written legal agreement or court decree

  Document at least six months' receipt of full payments received consistently.

- Disability Income

  Obtain a copy of the Borrower's disability policy or benefits statement. This will determine current eligibility for the benefits, amount and frequency of payments, current proof of receipt, and if there is a contractually established termination or modification date.

  Generally, long-term disability will not have a defined expiration date and should be expected to continue. If the Borrower is receiving short-term disability that will decrease within the next three years because of a conversion to long-term disability, the amount of long-term must be used as income to qualify the Borrower. If the Borrower is receiving short-term disability that will decrease in the near term due to a return to work, the following is also required:

  - A signed letter from the Borrower stating the intent to return to work once the disability no longer exists.
  - Verification from the employer stating that the Borrower will be allowed to return to work once the disability no longer exists.

- Foster Care Income

  Income received from a state or county sponsored organization for providing temporary care for one or more children may be considered acceptable stable income if the following requirements are met:

    - Verify the foster-care income with letters of verification from the organizations providing the income.
    - Document that the Borrower has a two-year history of providing foster-care services.
    - If the Borrower has not been receiving this type of income for two full years, the income may still be counted as stable income if the Borrower has at least a 12-month history of providing foster-care services.
  - The income may not represent more than 30% of the total gross income that is used to qualify for the mortgage loan.

- Notes Receivable Income

  Verify that the income can be expected to continue for a minimum of three years from the date of the mortgage Note. Obtain a copy of the Note to establish the amount and length of payment. Document regular receipt of income for the most recent twelve months using either cancelled checks or bank statements. Payments on a Note executed within the past 12 months, regardless of the duration, may not be used as stable income.

- Pension, Retirement, Annuity

  Document regular and continued receipt of the income, as verified by letters from the organizations providing the income, copies of retirement award letters, or 1099 forms, along with at least a one-month proof of current receipt.

  If retirement income is paid in the form of a distribution from a 401(k), IRA, or Keogh retirement account, determine whether the income is expected to continue for at least three years after the date of the mortgage Note. In addition, the Borrower must have unrestricted access to the accounts without penalty.

- Royalty Income

    - Obtain copies of the following:
        - Royalty contract, agreement, or statement confirming amount, frequency, and duration of the income.
        - Confirm that the Borrower has received royalty payments for at least twelve months and that the payments will continue for a minimum of three years after the date of the mortgage Note.

- Social Security Income

  Social Security income for retirement or long-term disability, drawn by the Borrower from his or her own account/work record, will not have a defined expiration date and should be expected to continue. Eligibility needs to be documented with either a copy of the retirement, disability, or supplemental award letter, along with at least one month proof of receipt. Benefits based upon another person’s account for retirement, disability, or supplemental income require a copy of the award letter, current proof of receipt, and evidence of a three-year continuance.

- Trust Income

Confirm the trust income by obtaining a copy of the trust agreement or the trustee's statement confirming the following:

- The Borrower is a beneficiary.
- The amount, frequency, and duration of the payments.
- The trust income will continue for at least three years from the date of the mortgage Note.

Obtain a copy of the Borrower's bank statements verifying receipt of the income.

- VA Benefit Income

  Document the Borrower's receipt of Veteran Administration (VA) benefits with a letter or distribution form from the VA, along with a one-month proof of receipt. Verify that the income can be expected to continue for a minimum of three years from the date of the mortgage Note. (Verification is not required for VA retirement or long-term disability benefits.) Education benefits are not acceptable income because they are offset by education expenses.

7.4.4 Asset Qualification Program

The Asset Qualification Program has two options, Asset Qualification using a 60-month depletion rate or Asset Qualification using 180 month depletion rate. If the borrower is qualified using the 60-month depletion rate in addition to the reserves listed on the matrix, the borrower must additionally have 110% of the original principal balance in reserve.

7.4.4.1 Asset Seasoning

Assets used to qualify must be sourced and seasoned for a minimum of two months prior to the application date and meet the requirements set forth in Section 8.

7.4.4.2 Asset Qualification 60 Month Depletion

Borrowers qualifying using 60-month asset depletion calculation, the Borrower's documented reserves are at least 110% of the original principal balance of the Loan plus applicable reserves per the program matrix and the Borrowers' Income from Asset Qualification plus the Borrowers' Income from Other Sources are sufficient so the Borrowers' debt to income ratio does not exceed 50%.

Monthly Borrowers' Income from Asset Qualification is determined by using total documented reserves divided by 60.

7.4.4.3 Asset Qualification 180 Month

Borrowers qualifying using the 180 month depletion method Income from Asset Qualification plus the Borrowers' Income from Other Sources are sufficient so the Borrowers' debt to income ratio does not exceed 50%.

Monthly Borrowers' Income from Asset Qualification is determined by using total documented reserves divided by 180 months. The borrower must have other documented income including but not limited to as income from self-employment, W2 income or rental income.

No more than 20% of the income can be in the form of Asset Qualification under the 180 month depletion method.

7.4.4.4 Supplemental Income

Under the Asset Qualification Program Sellers may document income from other sources in accordance with Section 7.4.1.

7.4.5 Debt Service Coverage Ratio

The market rent provided by the appraiser must be based on a long-term basis (12 months).

A rent schedule is required for all DSCR loans

For Purchase transactions:

The lower of the in place lease or market rent will be used for qualifying. If the property is currently vacant or will be delivered vacant the market rent will be used for qualifying.

Proposed leases are not acceptable.

For Refinance transactions:

If the property is rented the Lender must obtain the current lease for the property. The in-place lease amount will be used as the rental income so long as two months' rent receipts are documented. In the event the in-place lease exceeds the market rent by more than 15%, then the maximum of 115% of the market rent will be used as the rental income for qualifying. If the property is rented, but the rent receipts are not documented then the lower of the in-place lease or rent schedule must be used.

If the property is vacant the rental income from the rent schedule will be used.

If the property is rented on a short-term basis using Air Bnb, VRBO and/or similar short term rental facilitator, the Seller has the option to use either the average rental income received for the most recent 12 months Air Bnb, VRBO and/or similar short term rental facilitator or the 1007 as the rental income. In the event the Air Bnb, VRBO and/or similar short term rental facilitator, average income exceeds the market rent by 15%, then the maximum of 115% of the market rent will be used as the rental income for qualifying.

To calculate the Debt Service Coverage ratio the Seller must divide the Qualifying Rental income as indicated above by the sum of Principal and Interest payment as calculated in Section 6.8.2, the monthly real estate taxes, homeowner's insurance, flood insurance, HOA Dues and any other expenses tied to the subject property such as subordinate financing.

The Minimum Debt Service Coverage Ratio is as follows.

- Debt Service Coverage Elite Program 120%
- Debt Service Coverage Program 100%
- Debt Service Coverage Low Ratio Program 80%

7.4.6 Foreign National Alien Program

7.4.6.1 Full Doc

7.4.6.1.1 Salary and Wages

Income and employment from wages can be documented by one of the following:

1. Foreign paystubs W2's (or foreign country's version of a W2) and tax returns all of which must be translated into English.
2. A written verification of employment from the foreign Borrower's employer which must be translated into English.

A verbal verification of employment is required no less than 10 days prior to the date of the note.

7.4.6.1.2 Self Employed Income

Income and employment from self-employment can be documented by one of the following:

1. The Borrowers most recent year tax return translated into English and a P&L.
2. A letter from the Borrower's accountant stating the Borrower's income for the previous year and YTD and length of time of self-employment income translated in English, a copy of the Borrower's accountants license must be included in the file.

7.4.6.1.3 Rental income

Rental income can be documented by one of the following:

1. The Borrowers most recent year tax return translated into English.

2. A copy of the lease agreement for the property and the mortgage statement, tax statement and insurance statement. Using 75% of the lease amount less the PITIA to calculate the income.

7.4.6.1.4 Other income

Income from other sources can be documented by one of the following:

1. The Borrowers most recent year tax return translated into English.
2. A letter from the Borrower's accountant stating the Borrower's income for the previous year's income from other sources translated in English, a copy of the Borrower's accountants license must be included in the file.

7.4.6.1.5 Debt Service Coverage

The market rent provided by the appraiser must be based on a long-term basis (12 months).

For Purchase transactions:

The lower of the in place lease or market rent will be used for qualifying. If the property is currently vacant or will be delivered vacant the market rent will be used for qualifying.

Proposed leases are not acceptable.

For Refinance transactions:

If the property is rented the Lender must obtain the current lease for the property. The in-place lease amount will be used as the rental income so long as two months' rent receipts are documented. In the event the in-place lease exceeds the market rent by more than 15%, then the maximum of 115% of the market rent will be used as the rental income for qualifying. If the property is rented, but the rent receipts are not documented then the lower of the in-place lease or rent schedule must be used.

If the property is vacant the rental income from the rent schedule will be used.

If the property is rented on a short-term basis using Air Bnb, VRBO and/or similar short term rental facilitator, the Seller has the option to use either the average rental income received for the most recent 12 months Air Bnb, VRBO and/or similar short term rental facilitator or the 1007 as the rental income. In the event the Air Bnb, VRBO and/or similar short term rental facilitator, average income exceeds the market rent by 15%, then the maximum of 115% of the market rent will be used as the rental income for qualifying.

To calculate the Debt Service Coverage ratio the Seller must divide the Qualifying Rental income as indicated above by the sum of Principal and Interest payment as calculated in Section 6.8.2, the monthly real estate taxes, homeowner's insurance, flood insurance, HOA Dues and any other expenses tied to the subject property such as subordinate financing.

The Minimum Debt Service Coverage Ratio is 100%

8. Assets

8.1 Asset Requirements

Sufficient funds for down payment, closing costs, and reserves are required to be documented in each credit file. The documentation must cover a minimum two-month period. The documentation should be dated within 60 days of the loan note date. For accounts reporting on quarterly basis, the most recent quarterly statement is required.

8.2 Asset Documentation

In addition to documenting the down payment, closing costs, and minimum PITIA reserve requirements, all Borrowers are encouraged to disclose (and the Seller must verify) all the Borrower's liquid assets.

The Seller can use any of the following as asset documentation:

- Account statements (bank, credit union, brokerage, etc.) covering the seasoning period for the applicable program.
- When bank statements are used for asset verification, the statements can be obtained from the Borrower, or the Seller can use a third-party asset vendor participating in Fannie Mae's "Day 1 Certainty" process. Regardless of the source of the statements, any large deposits must be evaluated. Large deposits are defined as any single deposit that represents more than 50% of the Borrower's monthly income. For DSCR programs, large deposits do not need to be sourced, unless the transaction description identifies it as an ineligible source as defined in Section 8.7 and must deducted from the statements ending balance.
- Request for Verification of Deposit (Fannie Mae Form 1006).
- Stocks/bonds/mutual funds – 70% of account balance may be considered in the calculation of assets for closing costs, 100% can be used for reserves.
- Vested retirement account funds – 70% of account balance may be considered for down payment and closing costs. If the Borrower is using vested retirement account for reserves 100% of the value can be used.
- Life insurance and annuities- the surrender value of life insurance and annuities can be used to meet the reserve requirements.
- Accounts held in foreign funds with the following requirements
    - The Borrower is a Foreign National
    - Funds must be held in an institution with a presence in the United States
    - The value of the funds must be converted to US Dollars (https://www.xe.com/)
    - Bank statements must be translated into English
    - Funds must be seasoned for 60 days

        - Minimum 2 months bank statements are required
    - Foreign Stocks, Bonds mutual funds, retirement accounts, life insurance and annuities are not permitted

The Borrower cannot use any of the following as asset documentation:

- Non-vested or restricted stock accounts are not eligible for use as down payment or reserves.
- Assets/funds held outside the U.S. excluding Foreign National borrowers who meet the above requirements.

8.3 Sole proprietor Assets/Business Funds

Business funds may be used for down payment, closing costs and reserves. The Borrower must be listed as an owner of the account, and the account needs to be verified according to the above requirements.

Joint access letters are permitted for business asset accounts whereby borrower is not sole owner of the business. Documentation of business ownership must be included in file and access letter must be executed by all owners of the business unless the other owner is the borrower’s spouse then no letter is required.

A letter from a licensed tax professional must be included in the credit file that the use of the business funds used for down payment and closing costs will not harm the financial strength of the business is required if any of the below apply:

- if income from that business is being used to qualify
- if a transfer from the borrower’s business account (being used to qualify) was made within the most recent 2 months into their personal account.

The ending balance of business funds used may be the lessor of 100% of the ending balance or the percent of business ownership of the ending balance. If the loan is vesting in the name of the business 100% of the business funds may be used.

If Business funds are being used as reserves in the Asset Qualification program only 50% of the required assets can be made up of business account. For example, if the Borrower is required to have $1,000,000 in reserves only $500,000 can be held in the form of business assets.

8.4 Down Payment

Sellers must require that the Borrower state the source of the down payment and provide verification. If the Seller determines that the source of the down payment is another extension of secured credit, the Seller must then consider that loan as simultaneous secondary financing.

8.5 Reserves

Borrower must meet the minimum reserve requirements as outlined in the Loan Program Matrix of the Underwriting Guidelines, calculated by using Principal, Interest, Taxes, Insurance, and, if applicable, Association fees as follows:

Net proceeds from a cash-out transaction may be used to meet reserve requirements for all program except the Asset Qualification program.

Reserves must be sourced and documented as specified in sections 8.2 and 8.3 of these Underwriting Guidelines.

Any additional reserve requirements listed in the program matrices is based on the qualifying PITIA of the Subject Property.

8.6 Gift funds

Gift funds are permitted for primary residence, secondary residence and investment residence transactions. The following describes the borrower's minimum contribution requirements for transactions that contain gifts:

LTV/CTLV/HCLTV	Occupancy/Property Type	Min Contribution Requirement
80% or less	1-4 Unit Principal Residence, 2nd Home & Investment	Minimum borrower contribution is not required all funds can come from the gift
Greater than 80%	1 Unit Principal Residence	Minimum borrower contribution is not required all funds can come from the gift
Greater than 80%	2-4 Unit Principal Residence, 2nd Home & Investment	The borrower must make a 5% minimum contribution from their own funds. After the minimum borrower contribution has been met, gifts can be used to supplement the down payment, closing costs, and reserves

Gifts of equity require a 10% reduction to max LTV. Gifts of equity will not be permitted on 2nd home or investment properties. Gift funds are not permitted for reserves.

8.6.1 Eligible Donors and Documentation

Acceptable Donors:

- a relative, defined as the Borrower's spouse, child, or other dependent, or by any other individual who is related to the Borrower by blood, marriage, adoption, or legal guardianship; or

- A non-relative that shares a familial relationship with the borrower defined as a domestic partner (or relative of the domestic partner), individual engaged to marry the borrower, former relative or God parent

The donor may not be, or have any affiliation with, the builder, the developer, the real estate agent, or any other interested party to the transaction.

8.6.2 Documentation Requirements

Gifts must be evidenced by a letter signed by the donor, called a gift letter.

- An executed gift letter containing the following information:
  - Gift Amount
  - Donor Name
  - Donor Address
  - Donor phone number
  - Donor relationship with borrower
  - Bank account of where gift is coming from
  - Statement indicating whether gift will be provided to borrower or to settlement
  - Statement indicating no repayment of gift required
  - Signed by both donor and borrower

Documenting the transfer of gift to Donor or Settlement Agent:

- Transfer to Borrower
  - A copy of the donor's check and the borrower's deposit slip, or
  - A copy of the donor's withdrawal slip and borrower's deposit slip
- Transfer to Settlement Agent
  - A copy of donor's check to settlement agent along with letter from settlement agent confirming receipt of gift
  - A copy of wire receipt from donor to settlement agent along with wire receipt from settlement agent which must reflect donor's information (ie amount of gift, donor name and donor's account #)

Gift funds may not be used to meet reserve requirements. Gift of Equity allowed for Primary Residence only. Must meet all other guidelines for Gift Funds.

8.7 Ineligible Funds

The following funds are not eligible sources for down payment, closing costs, and reserves:

- Cash-on-hand
- Cryptocurrency
- Sweat equity
- Grant funds
- Down payment assistance programs

- Unsecured loans or cash advances

8.8 IPCs

Interested Party Contributions (IPC’s) that exceed the limits below are considered sales concessions.

Occupancy Type	LTV/CLTV Ratio	Maximum IPC
Principal residence or 2nd home	75.01%-85%	6%
	75% or less	9%
Investment	All LTV/CLTV's	3%

IPC’s of up to 7% will be permitted on investment/business purpose loans if the following are met

- The seller is the builder.
- There is no lender credit to the borrower evidenced on the Closing Statement.
- Minimum DSCR 100%, for DSCR loans

9. Loan Program Matrix

9.1 Full Documentation Program Matrix

Primary Residence

1-4 Unit/Condo Full Doc Purchase/Rate and Term						
Credit Score	**$750,000**	**$1,000,000**	**$1,500,000**	**$2,000,000**	**$2,500,000**	**$3,000,000**
760+	85%	85%	85%	85%	85%	80%
740 - 759	85%	85%	85%	85%	85%	80%
720 - 739	85%	85%	85%	85%	85%	80%
700 - 719	85%	85%	85%	85%	80%	75%
680 - 699	80%	80%	80%	75%	65%	65%
660 - 679	70%	70%	70%	65%	NA	NA

1-4 Unit/Condo Full Doc Cash-0ut						
Credit Score	**$750,000**	**$1,000,000**	**$1,500,000**	**$2,000,000**	**$2,500,000**	**$3,000,000**
760+	80%	80%	80%	75%	75%	70%
740 - 759	80%	80%	80%	75%	75%	70%
720 - 739	80%	80%	80%	75%	75%	70%
700 - 719	75%	75%	75%	75%	70%	65%
680 - 699	75%	75%	75%	70%	55%	55%

2nd Home

1 Unit/Condo Full Doc Purchase/Rate and Term						
Credit Score	**$750,000**	**$1,000,000**	**$1,500,000**	**$2,000,000**	**$2,500,000**	**$3,000,000**
760+	80%	80%	80%	75%	75%	70%
740 - 759	80%	80%	80%	75%	75%	70%
720 - 739	80%	80%	80%	75%	75%	70%
700 - 719	80%	80%	80%	75%	75%	65%
680 - 699	75%	75%	75%	70%	65%	NA
660 - 679	70%	70%	70%	60%	NA	NA

1 Unit/Condo Full Doc Cash-out						
Credit Score	**$750,000**	**$1,000,000**	**$1,500,000**	**$2,000,000**	**$2,500,000**	**$3,000,000**
760+	70%	70%	65%	60%	60%	60%
740 - 759	70%	70%	65%	60%	60%	60%
720 - 739	70%	70%	65%	60%	60%	60%
700 - 719	65%	65%	60%	60%	60%	60%
680 - 699	60%	60%	60%	55%	55%	NA

Investment/Business Purpose

1-4 Unit/Condo Full Doc Purchase/Rate and Term						
Credit Score	**$750,000**	**$1,000,000**	**$1,500,000**	**$2,000,000**	**$2,500,000**	**$3,000,000**
760+	80%	80%	80%	75%	75%	75%
740 - 759	80%	80%	80%	75%	75%	75%
720 - 739	80%	80%	80%	75%	75%	75%
700 - 719	80%	80%	75%	75%	75%	75%
680 - 699	70%	70%	70%	70%	65%	65%
660 - 679	65%	65%	65%	55%	NA	NA

1-4 Unit/Condo Full Doc Cash-out						
Credit Score	**$750,000**	**$1,000,000**	**$1,500,000**	**$2,000,000**	**$2,500,000**	**$3,000,000**
760+	75%	75%	70%	65%	65%	65%
740 - 759	75%	75%	70%	65%	65%	65%
720 - 739	75%	75%	70%	65%	65%	65%
700 - 719	70%	70%	65%	65%	65%	65%
680 - 699	65%	65%	65%	60%	55%	55%

Reserves

Loan Amount	≤ $1,000,000	3 Months
	$1,000,001 - $2,000,000	6 Months
	> $2,000,000	9 Months
Derogatory Credit Event ≤ 4 Years		Additional 6 Months
DTI > 43%		Additional 3 Months
Other Mortgages Appearing on the Borrower's Credit Report		Additional 3 Months*
Max Reserves Required Per Transaction LTV > 65%		18 Months
Max Reserves Required Per Transaction LTV ≤ 65%		9 Months

* Based on the PITIA of the Subject Property

Overlays

- 10% reduction to max LTV for gifts of equity
- Minimum loan amount $125,000
- Rural properties ineligible for investor occupancy and 2nd homes
- Max 80% LTV on 2-4 Units
- Interest Only
  - 80% LTV for purchase loans only min FICO 740
  - 75% LTV for all other FICO and loan purposes
- Cash in hand limited to 500,000 for LTV's above 60%.

9.2 Bank Statement Documentation Program

Primary Residence

1-4 Unit/Condo Bank Statement Purchase/Rate and Term						
Credit Score	**$750,000**	**$1,000,000**	**$1,500,000**	**$2,000,000**	**$2,500,000**	**$3,000,000**
760+	85%	85%	85%	85%	85%	80%
740 - 759	85%	85%	85%	85%	85%	80%
720 - 739	85%	85%	85%	85%	85%	80%
700 - 719	85%	85%	85%	85%	80%	75%
680 - 699	80%	80%	80%	75%	65%	65%
660 - 679	70%	70%	70%	65%	NA	NA

1-4 Unit/Condo Bank Statement Cash-out						
Credit Score	**$750,000**	**$1,000,000**	**$1,500,000**	**$2,000,000**	**$2,500,000**	**$3,000,000**
760+	80%	80%	80%	75%	75%	70%
740 - 759	80%	80%	80%	75%	75%	70%
720 - 739	80%	80%	80%	75%	75%	70%
700 - 719	75%	75%	75%	75%	70%	65%
680 - 699	75%	75%	75%	70%	55%	55%

2nd Home

1 Unit/Condo Bank Statement Purchase/Rate and Term						
Credit Score	**$750,000**	**$1,000,000**	**$1,500,000**	**$2,000,000**	**$2,500,000**	**$3,000,000**
760+	80%	80%	80%	75%	75%	70%
740 - 759	80%	80%	80%	75%	75%	70%
720 - 739	80%	80%	80%	75%	75%	70%
700 - 719	80%	80%	80%	75%	75%	65%
680 - 699	75%	75%	75%	70%	65%	NA
660 - 679	70%	70%	70%	60%	NA	NA

1 Unit/Condo Bank Statement Cash-out						
Credit Score	**$750,000**	**$1,000,000**	**$1,500,000**	**$2,000,000**	**$2,500,000**	**$3,000,000**
760+	70%	70%	65%	60%	60%	60%
740 - 759	70%	70%	65%	60%	60%	60%
720 - 739	70%	70%	65%	60%	60%	60%
700 - 719	65%	65%	60%	60%	60%	60%
680 - 699	60%	60%	60%	55%	55%	NA

Investment/Business Purpose

1-4 Unit/Condo Bank Statement Purchase/Rate and Term						
Credit Score	**$750,000**	**$1,000,000**	**$1,500,000**	**$2,000,000**	**$2,500,000**	**$3,000,000**
760+	80%	80%	80%	75%	75%	75%
740 - 759	80%	80%	80%	75%	75%	75%
720 - 739	80%	80%	80%	75%	75%	75%
700 - 719	80%	80%	75%	75%	75%	75%
680 - 699	70%	70%	70%	70%	65%	65%
660 - 679	65%	65%	65%	55%	NA	NA

1-4 Unit/Condo Bank Statement Cash-out						
Credit Score	**$750,000**	**$1,000,000**	**$1,500,000**	**$2,000,000**	**$2,500,000**	**$3,000,000**
760+	75%	75%	70%	65%	65%	65%
740 - 759	75%	75%	70%	65%	65%	65%
720 - 739	75%	75%	70%	65%	65%	65%
700 - 719	70%	70%	65%	65%	65%	65%
680 - 699	65%	65%	65%	60%	55%	55%

Reserves

* Based on the PITIA of the Subject Property

Overlays

- 10% reduction to max LTV for gifts of equity
- Minimum loan amount $125,000
- Rural properties ineligible for investor occupancy and 2nd homes
- Max 80% LTV on 2-4 units
- Interest Only
    - 80% LTV for purchase loans only min FICO 740
    - 75% LTV for all other FICO and loan purposes
- Cash in hand limited to 500,000 for LTV's above 60%.

Loan Amount	≤ $1,000,000	3 Months
	$1,000,001 - $2,000,000	6 Months
	> $2,000,000	9 Months
Derogatory Credit Event ≤ 4 Years		Additional 6 Months
DTI > 43%		Additional 3 Months
Other Mortgages Appearing on the Borrower's Credit Report		Additional 3 Months*
Max Reserves Required Per Transaction LTV > 65%		18 Months
Max Reserves Required Per Transaction LTV ≤ 65%		9 Months

* Based on the PITIA of the Subject Property

9.3 Profit & Loss Only Income Documentation Program

Primary Residence

1-4 Unit/Condo Profit & Loss Only Purchase/Rate and Term					
Credit Score	**$750,000**	**$1,000,000**	**$1,500,000**	**$2,000,000**	**$2,500,000**
760+	80%	80%	80%	80%	80%
740 - 759	80%	80%	80%	80%	80%
720 - 739	80%	80%	80%	80%	80%
700 - 719	80%	80%	80%	80%	75%
680 - 699	75%	75%	75%	70%	60%
660 - 679	65%	65%	65%	60%	NA

1-4 Unit/Condo Profit & Loss Only Cash-out					
Credit Score	**$750,000**	**$1,000,000**	**$1,500,000**	**$2,000,000**	**$2,500,000**
760+	70%	70%	70%	70%	70%
740 - 759	70%	70%	70%	70%	70%
720 - 739	70%	70%	70%	70%	70%
700 - 719	70%	70%	70%	70%	65%
680 - 699	70%	70%	70%	65%	50%

2nd Home

1 Unit/Condo Profit & Loss Only Purchase/Rate and Term					
Credit Score	**$750,000**	**$1,000,000**	**$1,500,000**	**$2,000,000**	**$2,500,000**
760+	75%	75%	75%	75%	75%
740 - 759	75%	75%	75%	75%	75%
720 - 739	75%	75%	75%	75%	75%
700 - 719	75%	75%	75%	75%	70%
680 - 699	70%	70%	70%	65%	55%
660 - 679	60%	60%	60%	55%	NA

1 Unit/Condo Profit & Loss Only Cash-out					
Credit Score	**$750,000**	**$1,000,000**	**$1,500,000**	**$2,000,000**	**$2,500,000**
760+	65%	65%	65%	65%	65%
740 - 759	65%	65%	65%	65%	65%
720 - 739	65%	65%	65%	65%	65%
700 - 719	65%	65%	65%	65%	60%
680 - 699	65%	65%	65%	60%	NA

Investment/Business Purpose

1-4 Unit/Condo Profit & Loss Only Purchase/Rate and Term					
Credit Score	**$750,000**	**$1,000,000**	**$1,500,000**	**$2,000,000**	**$2,500,000**
760+	75%	75%	75%	75%	75%
740 - 759	75%	75%	75%	75%	75%
720 - 739	75%	75%	75%	75%	75%
700 - 719	75%	75%	75%	75%	70%
680 - 699	70%	70%	70%	65%	55%
660 - 679	60%	60%	60%	55%	NA

1-4 Unit/Condo Profit & Loss Only Cash-out					
Credit Score	**$750,000**	**$1,000,000**	**$1,500,000**	**$2,000,000**	**$2,500,000**
760+	65%	65%	65%	65%	65%
740 - 759	65%	65%	65%	65%	65%
720 - 739	65%	65%	65%	65%	65%
700 - 719	65%	65%	65%	65%	60%
680 - 699	65%	65%	65%	60%	NA

Reserves

Loan Amount	≤ $1,000,000	3 Months
	$1,000,001 - $2,000,000	6 Months
	> $2,000,000	9 Months
DTI > 43%		Additional 3 Months
Other Mortgages Appearing on the Borrower's Credit Report		Additional 3 Months*
Max Reserves Required Per Transaction LTV > 65%		18 Months
Max Reserves Required Per Transaction LTV ≤ 65%		9 Months

* Based on the PITIA of the Subject Property

Overlays

- 10% reduction to max LTV for gifts of equity
- Minimum loan amount $125,000
- Rural properties ineligible for investor occupancy and 2nd homes
- Max 75% LTV IO
- Cash in hand limited to 500,000 for LTV's above 60%.

9.4 Asset Qualification Documentation Program Matrix

Primary Residence

1-4 Unit/Condo Asset Qualification Purchase/Rate and Term						
Credit Score	**$750,000**	**$1,000,000**	**$1,500,000**	**$2,000,000**	**$2,500,000**	**$3,000,000**
760+	85%	85%	85%	85%	85%	80%
740 - 759	85%	85%	85%	85%	85%	80%
720 - 739	85%	85%	85%	85%	85%	80%
700 - 719	85%	85%	85%	85%	80%	75%
680 - 699	80%	80%	80%	75%	65%	65%
660 - 679	70%	70%	70%	65%	NA	NA

1-4 Unit/Condo Asset Qualification Cash-out						
Credit Score	**$750,000**	**$1,000,000**	**$1,500,000**	**$2,000,000**	**$2,500,000**	**$3,000,000**
760+	80%	80%	80%	75%	75%	70%
740 - 759	80%	80%	80%	75%	75%	70%
720 - 739	80%	80%	80%	75%	75%	70%
700 - 719	75%	75%	75%	75%	70%	65%
680 - 699	75%	75%	75%	70%	55%	55%

2nd Home

1 Unit/Condo Asset Qualification Purchase/Rate and Term						
Credit Score	**$750,000**	**$1,000,000**	**$1,500,000**	**$2,000,000**	**$2,500,000**	**$3,000,000**
760+	80%	80%	80%	75%	75%	70%
740 - 759	80%	80%	80%	75%	75%	70%
720 - 739	80%	80%	80%	75%	75%	70%
700 - 719	80%	80%	80%	75%	75%	65%
680 - 699	75%	75%	75%	70%	65%	NA
660 - 679	70%	70%	70%	60%	NA	NA

1 Unit/Condo Asset Qualification Cash-out						
Credit Score	**$750,000**	**$1,000,000**	**$1,500,000**	**$2,000,000**	**$2,500,000**	**$3,000,000**
760+	70%	70%	65%	60%	60%	60%
740 - 759	70%	70%	65%	60%	60%	60%
720 - 739	70%	70%	65%	60%	60%	60%
700 - 719	65%	65%	60%	60%	60%	60%
680 - 699	60%	60%	60%	55%	55%	NA

Investment/Business Purpose

1-4 Unit/Condo Asset Qualification Purchase/Rate and Term						
Credit Score	**$750,000**	**$1,000,000**	**$1,500,000**	**$2,000,000**	**$2,500,000**	**$3,000,000**
760+	80%	80%	80%	75%	75%	75%
740 - 759	80%	80%	80%	75%	75%	75%
720 - 739	80%	80%	80%	75%	75%	75%
700 - 719	80%	80%	75%	75%	75%	75%
680 - 699	70%	70%	70%	70%	65%	65%
660 - 679	65%	65%	65%	55%	NA	NA

1-4 Unit/Condo Asset Qualification Cash-out						
Credit Score	**$750,000**	**$1,000,000**	**$1,500,000**	**$2,000,000**	**$2,500,000**	**$3,000,000**
760+	75%	75%	70%	65%	65%	65%
740 - 759	75%	75%	70%	65%	65%	65%
720 - 739	75%	75%	70%	65%	65%	65%
700 - 719	70%	70%	65%	65%	65%	65%
680 - 699	65%	65%	65%	60%	55%	55%

Reserves

Percentage of Loan Amount*		110%+
Loan Amount	≤ $1,000,000	Additional 3 Months
	$1,000,001 - $2,000,000	Additional 6 Months
	> $2,000,000	Additional 9 Months
Derogatory Credit Event ≤ 4 Years		Additional 6 Months
DTI > 43%		Additional 3 Months
Other Mortgages Appearing on the Borrower's Credit Report**		Additional 3 Months*

* 110% of the loan amount only required if the 60-month depletion rate is being used

** Based on the PITIA of the Subject Property

Overlays

- 10% reduction to max LTV for gifts of equity
- Minimum loan amount $125,000
- Rural properties ineligible for investor occupancy and 2nd homes
- Max 80% LTV on 2-4 units
- Max 75% LTV IO
- Cash in hand limited to 500,000 for LTV's above 60%.

9.5 Debt Service Coverage

<u>Investor/Business Purpose</u>

1-4 Unit/Condo DSCR Purchase/Rate and Term				
Credit Score	**$750,000**	**$1,000,000**	**$1,500,000**	**$2,000,000**
760+	80%	80%	80%	75%
740 - 759	80%	80%	80%	75%
720 - 739	80%	80%	80%	75%
700 - 719	75%	75%	70%	65%
680 - 699	75%	75%	70%	65%

1-4 Unit/Condo DSCR Cash-out				
Credit Score	**$750,000**	**$1,000,000**	**$1,500,000**	**$2,000,000**
760+	75%	75%	75%	70%
740 - 759	75%	75%	75%	70%
720 - 739	75%	75%	75%	70%
700 - 719	70%	70%	65%	60%
680 - 699	70%	70%	65%	60%

Reserves

Loan Amount	≤ $1,000,000	3 Months
	$1,000,001 - $2,000,000	6 Months
	> $2,000,000	9 Months
Derogatory Credit Event ≤ 4 Years		Additional 6 Months

Overlays

- Minimum loan amount $125,000
- Minimum DSCR 100%
- Gift of equity not permitted
- Rural properties ineligible
- Max 75% LTV IO
- 5 Year PPP required for 1 unit properties with loan amounts of $1,500,000 or greater
- Cash in hand limited to 500,000 for LTV’s above 60%.

9.6 Debt Service Coverage Low Ratio

Investor/Business Purpose

1-4 Unit/Condo Low Ratio Purchase/Rate and Term				
Credit Score	**$750,000**	**$1,000,000**	**$1,500,000**	**$2,000,000**
760+	70%	70%	70%	60%
740 - 759	70%	70%	70%	60%
720 - 739	70%	70%	70%	60%
700 - 719	70%	70%	70%	60%

1-4 Unit/Condo Low Ratio Cash-out				
Credit Score	**$750,000**	**$1,000,000**	**$1,500,000**	**$2,000,000**
760+	65%	65%	65%	55%
740 - 759	65%	65%	65%	55%
720 - 739	65%	65%	65%	55%
700 - 719	65%	65%	65%	55%

Reserves

Loan Amount	≤ $1,000,000	3 Months
	$1,000,001 - $2,000,000	6 Months
	>$2,000,000	12 Months
Derogatory Credit Event ≤ 4 Years		Additional 6 Months

Overlays

- Rural properties ineligible
- Minimum loan amount $125,000
- Minimum DSCR 80%
- Gift of equity not permitted
- 5 Year PPP required for 1 unit properties with loan amounts of $1,500,000
- Cash in hand limited to 500,000 for LTV’s above 60%.

9.7 Debt Service Coverage Elite

Investor/Business Purpose

1-4 Unit/Condo DSCR Purchase/Rate and Term			
Credit Score	**$750,000**	**$1,000,000**	**$1,500,000**
760+	75%	75%	75%
740 - 759	75%	75%	75%
720 - 739	75%	75%	75%

1-4 Unit/Condo DSCR Cash-out			
Credit Score	**$750,000**	**$1,000,000**	**$1,500,000**
760+	70%	70%	70%
740 - 759	70%	70%	70%
720 - 739	70%	70%	70%

Reserves

Loan Amount	≤ $1,000,000	3 Months
	$1,000,001 - $1,500,000	6 Months

Overlays

- Minimum loan amount $125,000
- Minimum DSCR 120%
- Gift of equity not permitted
- Rural properties ineligible
- Max 70% LTV IO
- 30 Year Term Only
- Foreign Nationals not permitted
- 5 Year PPP required for 1 unit properties with loan amounts of $1,500,000 or greater
- Cash in hand limited to 500,000 for LTV’s above 60%.

9.8 Foreign National Program Matrix

Second Home – Full Doc

1 Unit & Condo Foreign National Purchase/Rate and Term						
Credit Score	**$750,000**	**$1,000,000**	**$1,500,000**	**$2,000,000**	**$2,500,000**	**$3,000,000**
760+	75%	75%	75%	70%	65%	65%
740 - 759	75%	75%	75%	70%	65%	65%
720 - 739	75%	75%	75%	70%	65%	65%
700 - 719	75%	75%	75%	70%	65%	60%
680 - 699	75%	75%	75%	70%	60%	50%
660 - 679	65%	65%	65%	60%	NA	NA
No Score	75%	75%	75%	70%	65%	60%

1 Unit & Condo Foreign National Cash-out						
Credit Score	**$750,000**	**$1,000,000**	**$1,500,000**	**$2,000,000**	**$2,500,000**	**$3,000,000**
760+	70%	70%	70%	65%	60%	60%
740 - 759	70%	70%	70%	65%	60%	60%
720 - 739	70%	70%	70%	65%	60%	60%
700 - 719	70%	70%	70%	65%	60%	55%
680 - 699	70%	70%	70%	65%	55%	50%
No Score	70%	70%	70%	65%	55%	50%

Investor- Full Doc or DSCR

1-4 Unit & Condo Foreign National Purchase/Rate and Term						
Credit Score	**$750,000**	**$1,000,000**	**$1,500,000**	**$2,000,000**	**$2,500,000**	**$3,000,000**
760+	75%	75%	75%	70%	NA	NA
740 - 759	75%	75%	75%	70%	NA	NA
720 - 739	75%	75%	75%	70%	NA	NA
700 - 719	75%	75%	75%	70%	NA	NA
680 - 699	75%	75%	75%	70%	NA	NA
660 - 679	65%	65%	65%	60%	NA	NA
No Score	75%	75%	75%	70%	NA	NA

1-4 Unit & Condo Foreign National Cash-out						
Credit Score	**$750,000**	**$1,000,000**	**$1,500,000**	**$2,000,000**	**$2,500,000**	**$3,000,000**
760+	70%	70%	70%	65%	NA	NA
740 - 759	70%	70%	70%	65%	NA	NA
720 - 739	70%	70%	70%	65%	NA	NA
700 - 719	70%	70%	70%	65%	NA	NA
680 - 699	70%	70%	70%	65%	NA	NA
No Score	70%	70%	70%	65%	NA	NA

Reserves

Foreign National	12 Months
DTI > 43% (if qualifying full doc)	Additional 3 Months
Derogatory Credit Event ≤ 4 Years	Additional 6 Months

Other Mortgages Appearing on the Borrower's Credit Report	Additional 3 Months*
Max Reserves	24 Months

* Based on the PITIA of the Subject Property

Overlays

- Rural properties ineligible
- Minimum loan amount 125,000
- Gift of equity not permitted
- Minimum DSCR 100% (if applicable)
- Max DTI 50% (if applicable)
- 5 Year PPP required for 1 unit properties with loan amounts $1,500,000 or greater qualifying using DSCR
- Cash in hand limited to 500,000 for LTV's above 60%.
- 2nd homes not permitted in GA

10. Loan Details

10.1 Loan Products

Logan will offer the following loan product types:

- 5/6 ARM
- 5/6 ARM 10 Year IO (40 Year Term)
- 5/6 ARM 10 Year IO (30 Year Term)
- 30 Year Fixed Rate Mortgage
- 30 Year Fixed Rate Mortgage (10-year Interest only)
- 40 Year Fixed Rate Mortgage (must include a 10-year Interest only period)

10.2 Interest Only Options

Interest only product types are not available in Illinois or on Texas 50(a)(6) cash-out loans.

- 10 Year Interest Only Period + 30-year amortization term for 5/6 ARM and 40 Year Fixed Rate
- 10 Year Interest Only Period + 20-year amortization 5/6 ARM and 30 Year Fixed Rate

10.3 ARM Terms

- Index- 30 Day SOFR
- Margin 3.25 on Primary and 2nd Homes, 5.25 on Business Purpose Loans
- Caps:
  - 2% Initial
  - 2% Periodic
  - 5% Lifetime
- Floors:
  - Initial: None
  - Periodic: None
  - Lifetime: Original note rate

EXHIBIT A

TX Cash Out Refinances

TEXAS SECTION 50(a)(6) AND F2 CONVERSION TRANSACTIONS

- A Texas Section 50(a)(6) mortgage is a home equity (or cash-out) loan originated under the provisions of Article XVI, Section 50(a)(6), of the Texas Constitution, Home Equity Regulations and commentary which allow a borrower to take equity out of a homestead property under certain conditions. All Texas Home Equity transactions must comply with the more restrictive Logan Non-QM Underwriting Guidelines or the Texas Section 50(a)(6) Transactions description within these Guidelines. Loans in the state of Texas, that are not part of Texas Section 50(a)(6) transactions are required to have Non-Homestead Affidavit signed at closing. The Underwriter must determine that borrower(s) has enough evidence or proof of an actual primary residence or property where borrower resides at the time of application. Title company must approve closing and will insure if closing investment as non-50(a)6).

TEXAS SECTION 50(a)(6) SELLER CERTIFICATION

The seller certifies that with respect to the Texas Section 50(a)(6) mortgages delivered to Logan.

- All Texas Section 50(a)(6) mortgages were (or will be) originated pursuant to written processes and procedures that comply with the provisions of the Texas Constitution, Home Equity Regulations and commentary applicable to mortgage loans authorized by Section 50(a)(6), Article XVI of the Texas Constitution, as amended from time to time.
- The seller has in place a specific process for the receipt, handling, and monitoring of notices from borrowers that seller failed to comply with the provisions of the law applicable to Texas Section 50(a) (6) mortgages. Such a process must be adequate to ensure that the seller will correct the failure to comply by one of the authorized means no later than the 60th day after the date the seller is notified of the failure to comply by the borrower.
- An attorney familiar with the provisions of Section 50(a)(6), Article XVI of the Texas Constitution was consulted (or will be consulted prior to origination of the Texas Section 50(a)(6) mortgages) in connection with the development and implementation of the processes and procedures used for the origination of the Texas Section 50(a)(6) mortgages.
- To ensure ongoing compliance with the law applicable to mortgage loans authorized by Section 50(a) (6), Article XVI of the Texas Constitution, Home Equity Regulations and commentary, the processes and procedures used for the origination of the Texas Section 50(a)(6) mortgages will be reviewed by the seller regularly and will be updated and revised, as appropriate pursuant to clarifications of the law, on a regular and continual basis.
- The seller certifies that it is lawfully authorized to make loans described by Section 50(a)(6), Article XVI, of the Texas Constitution, Home Equity Regulations and commentary.
- The matters certified herein are representations and warranties of the seller given to Logan in connection with each Texas Section 50(a)(6) mortgage.

GENERAL REQUIREMENTS

The following parameters apply to Texas Section 50(a)(6) mortgages:

- Fixed 30 product, 5/1 ARM, 7/1 ARM (fully amortized only)
- Owner Occupied properties with All Documentation Types listed within the Guidelines
- Maximum CLTV 80
- 1-unit properties only (including Condos)
- 1st lien only

TEXAS SECTION 50(a)(6) LOAN PARAMETERS

The following are considered Texas Section 50(a)(6) loans:

- Loans using proceeds to pay off an existing 50(a)(6) loan (as identified in title work) (unless being closed as a refinance of a non-home equity loan to home equity loan. F2 conversions are allowed if borrower will not get cash back.
- Loans using proceeds to pay off or pay down debts that are not secured by the homestead property.
- Loans with any cash back to the borrower not associated with paying off debts secured by the homestead property, including taxes due.

The following are **NOT** considered Texas Section 50(a)(6) loans:

- Loans using proceeds to pay current taxes due on the property securing the loan.
- Loans using proceeds to buy out equity pursuant to a court order or agreement of the parties (usually applies to a divorce settlement).

TEXAS SECTION 50(A)(6) RESTRICTIONS

The following restrictions apply to Texas Home Equity loans:

- Texas Home Equity loans must wait at least one year since last 50(a)(6) loan closed.
- There can be only one outstanding 50(a)(6) loan on a property at any given time.
- If the borrower has an existing 50(a)(6) second lien and is getting cash-out from the first mortgage, that lien must be paid off.
- The 50(a)(6) loan may not be used to acquire the property or to finance construction.
- The 50(a)(6) loan cannot be an Interest Only Product must be fully amortizing.
- No Interest Only or Balloon

TEXAS SECTION 50(a)(6) OCCUPANCY

Texas Section 50(a)(6) requirements apply to single unit primary residences only (including Condos). All borrowers on the loan must be in title and occupy the subject property as their

EXHIBIT A - cont’d

primary residence. 2nd homes and investment properties are exempt from Texas Section 50(a)(6) requirements.

TEXAS SECTION 50(a)(6) BORROWERS

The following borrowers are permitted on Texas Home Equity loans. All borrowers must maintain primary occupancy in the subject property:

- U.S. Citizens
- Qualified Trusts (must receive Title approval for insuring transaction)
- Permanent Resident Aliens
- Non-Permanent Resident Aliens The following borrowers are not allowed:
    - Co-signer(s)
    - Non-occupant co-borrowers
    - Borrowers not on title (with exception of non-borrowing spouse)
    - Foreign Nationals
    - Corporations, partnerships, or LLCs
    -
    - Additionally, all non-married owners of the subject property must be borrowers.

TEXAS SECTION 50(a)(6) NON-BORROWING SPOUSE/ OWNER-IN-TITLE

A married borrower may not create a lien against the property unless his/her spouse consents to the lien by signing the following, where applicable:

- Notice Concerning Extension of Credit
- Security Instrument (including any Riders)
- Closing Disclosure One Day Before Closing
- Right of Rescission Notice
- Discount Point Disclosure
- Acknowledgment of Fair Market Value
- Premium Pricing Disclosure
- All owners must sign the application and the Notice Concerning Equity Loan Extension of Credit (English or Spanish). The signing of these documents starts the 12-day ‘cooling off’ period.
- Texas Home Equity Affidavit and Agreement
- Owner’s Affidavit of Compliance
- Receipt of Copies of Documents

EXHIBIT A - cont’d

Certificate of Non-Cancellation of Loan

An owner-in-title (whether a spouse or individual) must sign the application and Texas Home Equity

Notice (English or Spanish) at the time of application, along with all appropriate documentation.

TEXAS SECTION 50(a)(6) REFINANCING AN EXISTING HOME EQUITY LOAN

Effective for loans made on or after January 1, 2018, existing home equity loans (as identified in title work) may be refinanced as non-home equity loans and secured with a lien against the home, provided the following conditions are met:

- the refinance occurs at least a year after the home equity loan was closed;
- the additional loan amount only covers the actual costs of the refinancing that is reasonable and necessary, and does not provide the consumer with additional funds;
- the value of the new loan combined with the total of the outstanding principal balances of all other valid indebtedness secured by the homestead does not exceed 80% of the fair market value of the homestead on the date the extension of credit is made;
- the lender provides the homeowner the written notice (required by and promulgated under Section (f)(2)(D) and referenced below) on a separate document no later than the third business day after the date the owner submits the loan application and at least 12 days before the closing of the refinance.

The Notice Concerning Refinance of a Texas Home Equity Loan Pursuant to Subsection (f)(2) of Article XVI, Section 50 of the Texas Constitution', must be provided to the owner:

NOTICE CONCERNING REFINANCING A HOME EQUITY LOAN

YOUR EXISTING LOAN THAT YOU DESIRE TO REFINANCE IS A HOME EQUITY LOAN. YOU MAY HAVE THE OPTION TO REFINANCE YOUR HOME EQUITY LOAN AS EITHER A HOME EQUITY LOAN OR AS A NON-HOME EQUITY LOAN, IF OFFERED BY YOUR LENDER.

HOME EQUITY LOANS HAVE IMPORTANT CONSUMER PROTECTIONS. A LENDER MAY ONLY FORECLOSE A HOME EQUITY LOAN BASED ON A COURT ORDER. A HOME EQUITY LOAN MUST BE WITHOUT RECOURSE FOR PERSONAL LIABILITY AGAINST YOU AND YOUR SPOUSE.

IF YOU HAVE APPLIED TO REFINANCE YOUR EXISTING HOME EQUITY LOAN AS A NON-HOME EQUITY LOAN, YOU WILL LOSE CERTAIN CONSUMER PROTECTIONS. A NON-HOME EQUITY REFINANCED LOAN:

(1) WILL PERMIT THE LENDER TO FORECLOSE WITHOUT A COURT ORDER;
(2) WILL BE WITH RECOURSE FOR PERSONAL LIABILITY AGAINST YOU AND YOUR SPOUSE; AND
(3) MAY ALSO CONTAIN OTHER TERMS OR CONDITIONS THAT MAY NOT BE PERMITTED IN A TRADITIONAL HOME EQUITY LOAN.

BEFORE YOU REFINANCE YOUR EXISTING HOME EQUITY LOAN TO MAKE IT A NON-HOME EQUITY LOAN, YOU SHOULD MAKE SURE YOU UNDERSTAND THAT YOU ARE WAIVING IMPORTANT PROTECTIONS THAT HOME EQUITY LOANS PROVIDE UNDER THE LAW AND SHOULD CONSIDER CONSULTING WITH AN ATTORNEY OF YOUR CHOOSING REGARDING THESE PROTECTIONS.

YOU MAY WISH TO ASK YOUR LENDER TO REFINANCE YOUR LOAN AS A HOME EQUITY LOAN. HOWEVER, A HOME EQUITY LOAN MAY HAVE A HIGHER INTEREST RATE AND CLOSING COSTS THAN A NON-HOME EQUITY LOAN.

EXHIBIT A - cont'd

For loans refinancing an existing home equity loan, the loan file must include the Texas Constitution Section 50(f-1) Affidavit Acknowledging Requirements of Subsection (f)(2), which

must be properly executed under Texas law by the owner or the owner's spouse.

Note: All the above requirements must be met in order for the home equity loan to be refinanced as a non-home equity loan.

TEXAS SECTION 50(a)(6) AND F2 CONVERSION 12-DAY COOLING OFF PERIOD

For 50(a)(6) Liens, the Notice Concerning Equity Loan Extension of Credit or for (f)(2) the Notice Concerning Refinance a Home Equity Lien, must be provided to the borrower in English and an additional copy of the notice translated into the written language in which the discussions were conducted. To ensure the disclosure is provided to the borrower in the correct language, the loan officer must add a comment to the Loan Submission form identifying the language spoken. The processor must properly identify the language spoken when ordering documents.

- Loan may not be closed until at least 12 calendar days after the borrower has dated and signed the initial application and Notice Concerning Equity Loan Extension of Credit.
- E -consent signatures are acceptable.
- The "cooling off" period in which the borrowers, owners-in-title, and/or spouse (including non-borrowing spouse) can change his/her mind about the Texas Home Equity first mortgage runs from the later of:
    - The date the initial loan application is signed,
    - The date that the Notice Concerning Equity Loan Extension of Credit is signed and dated by the borrowers, owners-in-title, and/or spouse.

TEXAS SECTION 50(a)(6) PAYOFF OF DEBT

Seller may require the payoff of the existing first lien as part of the loan approval when the following requirements are met:

- Seller may not require any other seller-owned debt be paid off not secured by property as part of the transaction as a condition of loan approval.
- If the payoff of debts to other sellers/creditors is required in order to qualify the borrower, then those payoffs must be shown on the settlement statement and disbursed directly to the creditor by the title company.
- Debts that are elected to be for paid off by the borrower but are not required to be paid off in order to qualify the borrower, may be disbursed directly to the borrower.

EXHIBIT A - cont'd

TEXAS SECTION 50(a)(6) SECONDARY FINANCING

New subordinate financing is not allowed, but existing subordinate financing may remain in place. Existing subordinate financing is subject to the following:

- Second lien must be re-subordinated
- Maximum 80% CLTV

- Second lien may not be a 50(a)(6), HELOC or a reverse mortgage

TEXAS SECTION 50(a)(6) PROPERTY CHARACTERISTICS

All properties must be residential in nature. Tax certification and exemptions for the property are to be reviewed and must meet the following requirements:

- Property must be a principal residence constituting the borrower's homestead in state of Texas.
- The homestead property may not exceed the applicable acreage limit as determined by Texas law.
- All separate structures must be included in the homestead exemption.
- The homestead, as identified on the appraisal, county appraisal district records, and/or survey must include ingress/egress to a properly identified public road. (access easement must be included in title coverage)
- The new lien may only be secured by the homestead parcel and the market value for CLTV calculation can only be assessed on that parcel.

TEXAS SECTION 50(a)(6) URBAN AND RURAL HOMESTEAD DEFINITIONS

TEXAS HOME EQUITY HOMESTEAD DEFINITIONS		
	URBAN HOMESTEAD DEFINITION	RURAL HOMESTEAD DEFINITION
ACREAGE	Acreage securing the loan may not exceed 10 acres.	Acreage may not exceed 10 acres.
PROPERTY LOCATION AND SERVICES	Property must be located: - Within municipal boundaries, or - Its extraterritorial jurisdiction, or - A platted subdivision and be served by police protection, paid or volunteer fire protection, and at least three of the following services provided by a Municipality or under contract to a municipality: • Electric • Natural gas • Sewer • Storm sewer • Water	The property is not located within municipal boundaries or its extraterritorial jurisdiction, or if the property is located in one of those types of areas: - It is not served by police protection or paid or volunteer fire protection provided by the municipality or under contact to a municipality, and - The municipality provides directly or under contract less than three (3) of the following services: Electric Natural gas Sewer Storm sewer Water

EXHIBIT A - cont'd

Properties determined to be 'Urban' cannot exceed contiguous 10 acres. Property determined to be 'Rural' may not exceed 10 acres. The property should conform to and be acceptable in the market area. The appraisal must include the actual size of the site and not a portion of the site.

TEXAS SECTION 50(a)(6) CLOSING

REQUIREMENTS TEXAS SECTION 50(a)(6)

ATTORNEY REVIEW

All documents must be reviewed by one of the following law firms (other attorneys may be acceptable when approved in advance by Logan attorney Black, Mann and Graham, LLP

TEXAS SECTION 50(a)(6) CLOSING DISCLOSURE AND FINAL LOAN APPLICATION

The final Closing Disclosure (CD) and a copy of the final loan application must be delivered to/accepted by the borrower(s) during normal business hours one day before closing.

Borrower must sign the Acknowledgment of Itemization of Fees, Points, Interest, Costs and Charges for Texas Home Equity Loan or Line of Credit to evidence their receipt of the final Closing Disclosure and loan application.

TEXAS SECTION 50(a)(6) POINTS AND FEES

Borrower paid fees are limited to 2% of the principal balance (including the origination fee). The following are not included in the 2% limitation:

- **Lender paid closing costs**
- Per diem interest
- Bona fide discount points used to reduce the interest rate
- Escrow/impound funds
- Appraisal fee paid to third-party appraiser
- Surveys (completed by state registered or licensed surveyors)
- HOA Maintenance Fees
- A state base premium for a mortgagee policy of title insurance with endorsements established in accordance with state law;

If borrowers are paying discount points, the borrowers, owners-in-title and/or spouse must execute the TX Home Equity Discount Point Acknowledgment.

Only fees which are allowed by State Law and RESPA/ECOA regulatory guidelines can be charged to the borrower and MUST be accurate and reflected on the Loan Estimate (LE) and the Closing Disclosure (CD).

EXHIBIT A - cont’d

TEXAS SECTION 50(a)(6) POWER OF ATTORNEY

Power of Attorney is not allowed.

TEXAS SECTION 50(a)(6) SURVEY

Surveys are required on all Texas Home Equity transactions to ensure the following:

- Confirm lot size
- Evidence homestead property and any adjacent land are separate
- Evidence of homestead and property is a separately platted and subdivided lot for which full ingress and egress is available.
- Properties must be served by municipal utilities, fire and police protection (excluding rural properties)
- Homestead must be separate parcel within permissible acreage

TEXAS SECTION 50(a)(6) TITLE

A title insurance policy written on Texas Land Title Association forms (standard or short) including T42 and T42.1 endorsements is required.

For self-employed borrowers operating a business from the homestead property, the title company must issue a T42.1 endorsement without exception or deletion.

Title may not include language that:

- excludes coverage for a title defect that arises because financed origination expenses are held not to be “reasonable costs necessary to refinance”; or
- defines the “reasonable costs necessary to refinance” requirement as a “consumer credit protection” law since the standard title policy excludes coverage when lien validity is questioned due to a failure to comply with consumer credit protection laws.

Loans must be closed in a Texas title company’s office and have T42 Endorsement. No mobile notaries are permitted.

TEXAS SECTION 50(a)(6) TEXAS HOME EQUITY DOCUMENTS

The following additional Texas Home Equity specific documents must be included in the closing package:

- Notice Concerning Extension of Credit Defined by Section 50(a)(6) (signed by each owner of the property and each spouse of an owner)
- Acknowledgment of Fair Market Value of Homestead Property (borrower and seller must sign at closing with an appraisal attached to the Acknowledgment)
- Notice of Right to Cancel (signed by each owner of the property and each spouse of an owner)

- Texas Home Equity Security Instrument (Form 3044.1)
- Texas Home Equity Note (Form 3244.1)
- Texas Home Equity Affidavit and Agreement (Form 3185)
- Texas Home Equity Condo Rider (Form 3140.44), if applicable
- Texas Home Equity PUD Rider (Form 3150.44), if applicable
- Texas Home Equity Certificate from Originating Lender’s Regarding Compliance with Section 50(a)(6) Article XVI of the Texas Constitution signed by the Seller’s Attorney
- Texas Home Equity Discount Point Acknowledgment, if applicable
- Affidavit of Non-Homestead for all other dwellings, if borrower owns more than one
- Detailed closing instruction letter acknowledged by title company (Compliance Requirements for Texas Home Equity Loans)

**Final disclosures must be separate for spouses and there must be one business day between disclosures and closing.

Note for any re-subordinating second (cannot be a 50(a)(6) Note, a new loan or a HELOC) with subordination agreement, if applicable.